

JSS 2 BUSINESS STUDIES LESSON NOTES

FIRST TERM

Week	Topic	Content
1	Effective Office Practice	Definition of an office; Types of offices; Importance of an office
2	The Reception Office	Meaning of reception office; Meaning of a receptionist; Importance of a receptionist
3	Duties of a Receptionist	Qualities of a good receptionist; How to receive and treat visitors
4	Office Etiquette	Appropriate office dress code; Documents handled by the receptionist
5	Midterm Examination	—
6	Office Correspondence (Part 1)	Meaning of office correspondence; Types of correspondence
7	Midterm Break	—
8	Office Correspondence (Part 2)	Uses of office correspondence; Ways mails come into an organisation
9	Handling of Mail	Inward mail and outward mail; Mail handling procedures
10	Office Documents	Meaning of office documents; Types of office documents; Preparation and uses of sales & purchase documents
11	Revision	—
12	Examination	—
13	Closing	—

WEEK 1: EFFECTIVE OFFICE PRACTICE

Meaning of an Office

An **office** is a place, room, or building where the clerical, administrative, and managerial work of an organization is carried out. It serves as the centre of coordination for business activities such as receiving, processing, storing, and communicating information.

The office is not limited to physical space only. In modern times, with the use of computers and the internet, many people operate *virtual offices* from their homes or remote locations.



Types of Offices

1. Small Office

- Usually run by a small business or sole proprietorship.
- Few staff members.
- Simple structure and functions.
- Examples: a lawyer's office, tailoring shop, local mechanic's office.

2. Large Office

- Found in big organizations, companies, or government agencies.
- Many departments and a large number of staff.
- Specialized division of labour and modern office equipment.
- Examples: Central Bank of Nigeria, large manufacturing companies, ministries.

3. Open Office

- A large hall where many clerks or workers perform their duties together without partitions.
- Advantages: easy supervision, better communication, less expensive.
- Disadvantages: noisy environment, lack of privacy, easy spread of gossip.

4. Private Office

- Small enclosed office, usually assigned to one person (manager or senior officer).
- Advantages: privacy, reduced noise, increased concentration.
- Disadvantages: more expensive to maintain, difficult supervision of workers.

Importance of an Office

1. Information Management

- Receives, records, stores, and supplies information for decision-making.

2. Communication

- Acts as a link between the organization and outsiders (customers, suppliers, government).

3. Decision-Making

- Provides necessary information and reports that help managers make informed decisions.

4. Coordination

- Ensures that all departments work together smoothly by providing accurate data and support.

5. Safekeeping of Records

- Stores important documents like contracts, receipts, invoices, financial statements, and correspondence.

6. Image of the Organization

- A well-organized office creates a good impression of efficiency and orderliness.

7. Support Services

- Provides clerical and administrative support such as typing, filing, scheduling, and data processing.

Qualities of an Effective Office

An effective office should:

- Be located in a convenient and accessible place.
- Be well-organized with clear arrangements of departments.
- Have qualified and competent staff.
- Possess adequate modern office equipment and facilities.

- Ensure confidentiality of information.
- Promote efficiency, productivity, and good customer service.

EVALUATION

1. Define an office.
2. State four types of offices and explain two.
3. Mention five importance of an office.
4. Differentiate between an open office and a private office.
5. List three qualities of an effective office.

ASSIGNMENT

1. Explain the differences between a small office and a large office.
2. Discuss five disadvantages of an open office.
3. Write short notes on the following:
 - a) Information management in an office
 - b) Communication role of the office
 - c) Safekeeping of records

WEEK 2: THE RECEPTION OFFICE

MEANING OF A RECEPTION OFFICE

- The **reception office** is the section of an organization, business, or establishment where visitors, clients, or customers are first received, attended to, and directed to the right offices.
- It is usually located at the entrance or front area of a company.
- It serves as the **first point of contact** between the public and the organization.
- It is sometimes referred to as the **front office**.



MEANING OF A RECEPTIONIST

- A **receptionist** is the officer or staff member responsible for manning the reception office.
- He or she receives visitors, provides information, answers telephone calls, directs people to the appropriate offices, and performs other clerical duties.
- A receptionist acts as the **link between the public and the organization**.
- The receptionist is often the **first impression** of the organization, so he or she must be polite, neat, and professional.

QUALITIES OF A GOOD RECEPTIONIST

A good receptionist should possess the following qualities:

- Neat appearance and good grooming.
- Polite, friendly, and welcoming attitude.
- Ability to communicate clearly (both orally and in writing).
- Knowledge of the organization and its activities.
- Ability to keep records properly.
- Tactfulness and patience in dealing with different people.
- Ability to handle office machines (telephone, intercom, computer, photocopier, etc.).
- Punctuality and reliability.

IMPORTANCE OF A RECEPTIONIST

The receptionist plays an important role in any organization:

- **Creates first impressions:** The receptionist's attitude and appearance create the first impression of the organization.

- **Attends to visitors:** Provides information, assistance, and directions to visitors and customers.
- **Handles communication:** Answers and makes telephone calls, takes messages, and relays information to staff.
- **Maintains records:** Keeps visitors' books, schedules appointments, and manages incoming and outgoing correspondence.
- **Controls access:** Ensures visitors go to the right offices and prevents unnecessary disturbances to management.
- **Improves organizational efficiency:** By directing visitors properly, time and resources are saved.
- **Supports security:** The receptionist monitors movement of visitors, helping in the security of the organization.
- **Promotes customer relations:** Friendly reception encourages customers to continue doing business with the organization.

IMPORTANCE OF A RECEPTION OFFICE

- Serves as the organization's **first contact point** with outsiders.
- Enhances the **image and reputation** of the organization.
- Provides a **comfortable waiting area** for visitors.
- Promotes **effective communication** between the organization and the public.
- Assists in **smooth coordination** of visitors and staff interactions.
- Prevents unnecessary interruptions to official work.

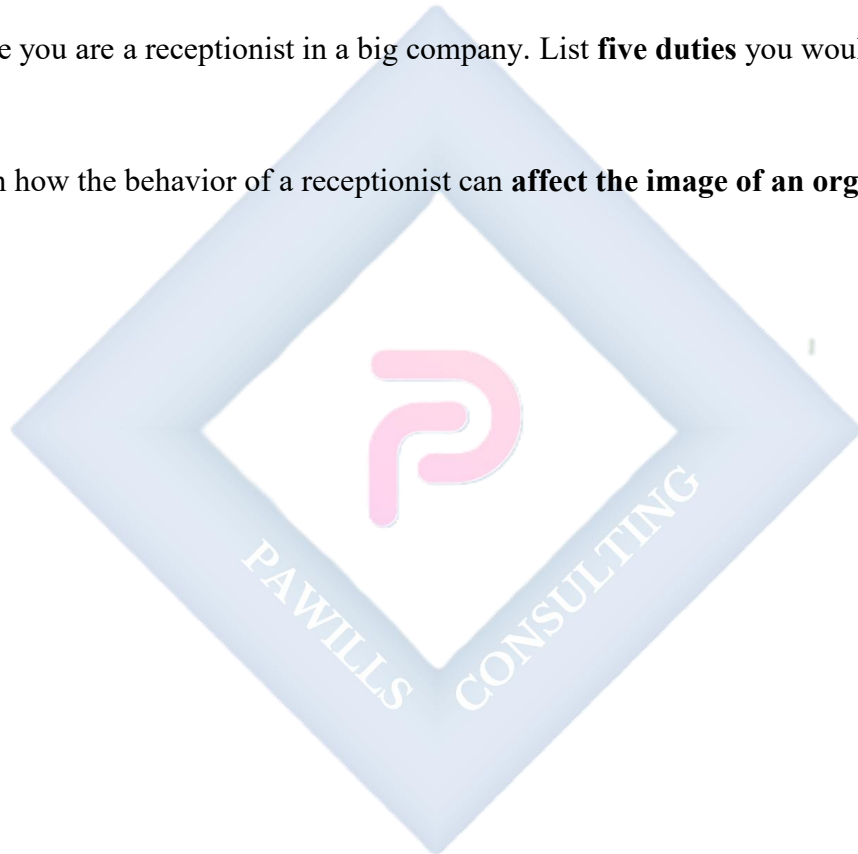
EVALUATION

1. Define a reception office.
2. Who is a receptionist?

3. List five qualities of a good receptionist.
4. State three importance of a receptionist in an organization.
5. Why is the reception office important in an organization?

ASSIGNMENT

1. Differentiate between a **reception office** and a **receptionist**.
2. Imagine you are a receptionist in a big company. List **five duties** you would perform daily.
3. Explain how the behavior of a receptionist can **affect the image of an organization**.

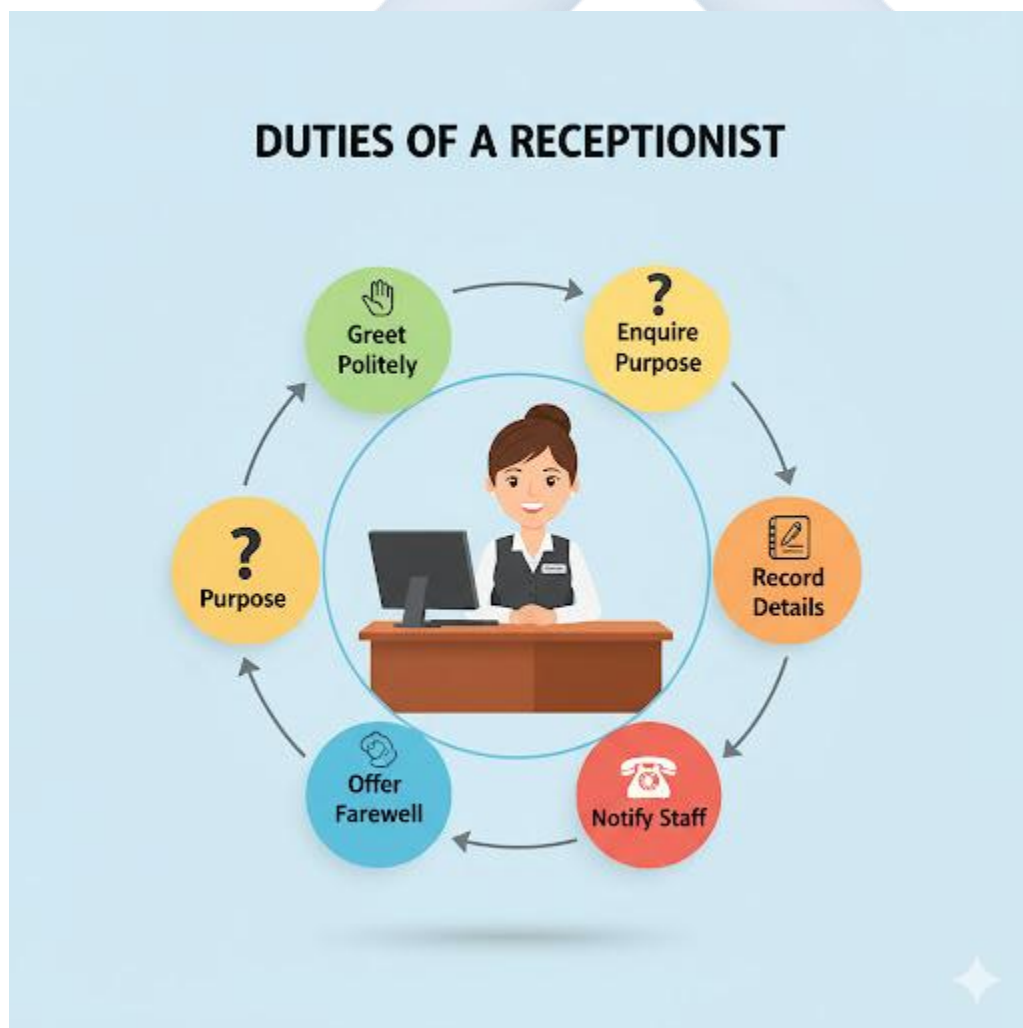


WEEK 3: DUTIES OF A RECEPTIONIST

Qualities of a Good Receptionist; How to Receive and Treat Visitors

INTRODUCTION

In any business organization, the receptionist plays a very important role. The receptionist is usually the first person visitors, customers, and even staff meet when they come into an office. Because first impressions often determine how outsiders perceive an organization, the receptionist acts as the face and representative of the business. Therefore, the duties of a receptionist go beyond merely answering the telephone or welcoming visitors; they involve creating a positive image for the organization.



QUALITIES OF A GOOD RECEPTIONIST

To perform effectively, a receptionist must possess certain qualities. These include:

1. **Politeness and Courtesy:** A receptionist must always use polite language and treat everyone with respect, no matter their status.
2. **Good Communication Skills:** Since the job involves constant interaction with visitors, the receptionist should speak clearly, confidently, and with understanding.
3. **Neat Appearance:** Because appearance creates a lasting impression, a receptionist should dress neatly and maintain proper grooming.
4. **Patience:** A receptionist must deal calmly with difficult or impatient visitors without becoming rude.
5. **Alertness and Attentiveness:** Receptionists must remain focused to respond quickly to enquiries and situations.
6. **Confidentiality:** Sensitive information must be handled discreetly without gossip or disclosure.
7. **Efficiency and Organization:** A receptionist should be able to handle calls, record appointments, and manage visitors without confusion.
8. **Friendliness and Warmth:** A good smile and approachable attitude put visitors at ease.

HOW TO RECEIVE AND TREAT VISITORS

The way visitors are handled in an office often determines whether they will return or not. The receptionist must therefore ensure that every visitor is received warmly and directed appropriately. The following steps are important in receiving and treating visitors:

1. **Prompt Attention:** Visitors should be acknowledged as soon as they arrive, even if the receptionist is busy.

2. **Polite Greeting:** The receptionist should greet visitors with courtesy (e.g., “Good morning, sir/ma, how may I help you?”).
3. **Enquiry and Assistance:** Politely find out the visitor’s purpose for coming and provide guidance.
4. **Visitor’s Record:** Record the visitor’s details (name, whom they wish to see, and time of arrival) in a visitor’s book if required.
5. **Notification:** Contact the officer or staff member the visitor has come to see and inform them of the arrival.
6. **Proper Waiting Arrangement:** If the person to be visited is not immediately available, the receptionist should politely direct the visitor to the waiting area and ensure they are comfortable.
7. **Offering Assistance:** Depending on the office, the receptionist may offer water or reading material while the visitor waits.
8. **Directing or Escorting:** When the staff member is ready, the receptionist should direct or escort the visitor to the appropriate office.
9. **Polite Farewell:** After the visit, the receptionist should bid the visitor goodbye courteously to leave a lasting positive impression.

IMPORTANCE OF A RECEPTIONIST IN AN ORGANIZATION

- Creates the **first impression** of the organization.
- Ensures **orderliness and proper record keeping** of visitors.
- Acts as a **link between outsiders and staff** of the organization.
- Enhances the **professional image** of the company.
- Reduces time wasted by guiding visitors promptly.

EVALUATION

1. Who is a receptionist?
2. Mention five qualities of a good receptionist.
3. Explain three ways a receptionist should receive and treat visitors.
4. Why is it important for a receptionist to be polite and neat?
5. State two reasons why a receptionist is important in an organization.

ASSIGNMENT

1. Describe in detail five qualities that make a good receptionist.
2. Assume you are a receptionist in a company. Explain step by step how you would attend to a visitor who came late and was impatient to see the manager.
3. Write short notes on:
 - a. Polite greeting
 - b. Visitor's record
 - c. Confidentiality in reception work.

WEEK 4: OFFICE ETIQUETTE

1. Appropriate office dress code
2. Documents handled by the receptionist

OFFICE ETIQUETTE



PROFESSIONAL PRESENCE



DOCUMENT MANAGEMENT

Meaning of Office Etiquette

- Office etiquette refers to the acceptable manners, behaviors, and professional conduct expected of workers in an office environment.

- It includes **dress, communication, time management, respect, teamwork, and general workplace behavior.**

Appropriate Office Dress Code

- Workers are expected to appear neat, clean, and professional at all times.
- **For men:**
 - Suit, shirt, tie, neat shoes, well-kept hair.
 - Avoid slippers, torn jeans, or flashy outfits.
- **For women:**
 - Decent dresses, suits, skirts, or blouses.
 - Avoid excessively tight, short, or revealing clothes.
 - Minimal, professional make-up and accessories.
- **General Rules:**
 - Clothes must be ironed and neat.
 - Shoes polished.
 - Identification card (if required) should be worn.
 - Uniform (in some offices like banks, airlines, or security firms).
- Dressing well creates a **good impression**, enhances confidence, and reflects positively on the organization.

Documents Handled by the Receptionist

A receptionist is the first point of contact in the office. He/She handles important documents such as:

1. **Visitors' Book/Log Book** – records names, addresses, time of arrival and departure of visitors.
2. **Incoming Mail** – letters, parcels, and other correspondence addressed to the organization.
3. **Outgoing Mail** – letters and packages sent out from the office.
4. **Telephone Messages/Call Slips** – notes and messages taken on behalf of staff.
5. **Appointment Register** – records staff or official appointments.
6. **Internal Memos and Circulars** – short office communication passed to different departments.
7. **Delivery Notes/Receipts** – acknowledgments for parcels or items delivered.

Importance of Office Etiquette

- Promotes discipline and order in the office.
- Enhances the image of the organization.
- Encourages good working relationships among staff.
- Increases productivity and efficiency.
- Builds trust with clients and customers.

WEEK 6: OFFICE CORRESPONDENCE (PART I)

- Meaning of Office Correspondence
- Types of Correspondence

INTRODUCTION

Every organization, whether big or small, depends on communication for its smooth running. In the office, communication is usually done in writing for accuracy, reference, and record-keeping. Such written communications are called **office correspondence**. They are essential for day-to-day administration, decision-making, and maintenance of proper records in business transactions.

In modern business, correspondence is not only done within the office but also between the organization and external parties such as customers, suppliers, government agencies, and other stakeholders. Therefore, understanding office correspondence is important for students who wish to develop administrative and business communication skills.





MEANING OF OFFICE CORRESPONDENCE

Office correspondence refers to all forms of written communication exchanged within an office or between an office and other organizations or individuals. It includes letters, memos, circulars, reports, notices, emails, and other written messages.

It is a permanent means of communication in business because it provides evidence, can be referred to in the future, and ensures accuracy.

Importance of Office Correspondence

1. **Record Keeping** – It provides permanent records of transactions.
2. **Evidence in Case of Dispute** – Written correspondence can be used as proof in legal matters.
3. **Reference for Future Actions** – It serves as a guide for decision-making.

4. **Effective Communication** – It ensures clear and precise exchange of information.
5. **Facilitates Smooth Running of Business** – It helps to give instructions, seek clarifications, and confirm agreements.
6. **Maintains Relationship** – Correspondence helps in maintaining good relations with customers, suppliers, and other stakeholders.

TYPES OF OFFICE CORRESPONDENCE

There are different types of correspondence used in business and office administration. They can be grouped into:

1. Internal Correspondence

- This is correspondence exchanged within the same organization.
- Examples: memos between departments, notices to staff, circulars, internal reports.
- Purpose: to facilitate communication among workers and management.

2. External Correspondence

- This is correspondence exchanged between an organization and outside individuals or bodies.
- Examples: letters to customers, suppliers, government agencies, or other companies.
- Purpose: to maintain business relationships, seek information, or conduct transactions.

3. Personal Correspondence

- This is correspondence between individuals within or outside the office.
- Examples: letters of application, leave letters, appreciation notes.
- Purpose: usually for personal communication within a professional setting.

4. Official Correspondence

- This involves communication between government offices or between government and private organizations.
- Examples: official circulars, government notices, directives.
- Purpose: to ensure smooth running of government activities and communication with the public.

5. Business Correspondence

- This refers to written communication between two or more business organizations, or between a business and its clients.
- Examples: inquiry letters, order letters, complaint letters, sales letters, acknowledgement letters.
- Purpose: to promote trade, negotiate deals, and solve business-related issues.

MORAL AND PRACTICAL LESSONS

1. Good correspondence promotes order and efficiency in offices.
2. Students should learn to write clearly and correctly to prepare for future careers.
3. Honesty and accuracy are important when handling correspondence.
4. Business communication requires courtesy, conciseness, and correctness.

EVALUATION

1. Define office correspondence.
2. State five reasons why office correspondence is important.
3. Differentiate between internal and external correspondence.
4. List and explain four types of correspondence with examples.
5. Why is correspondence considered a permanent form of communication in business?

ASSIGNMENT

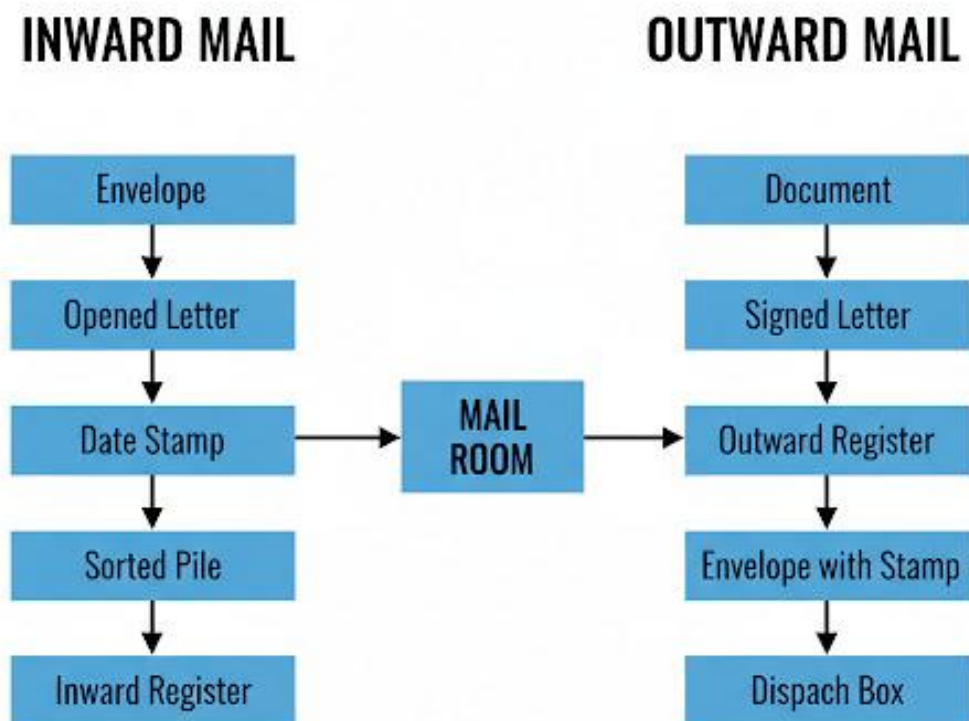
1. Write short notes on any three types of office correspondence with practical examples.
2. Imagine you are the secretary of your school's press club. Draft a simple letter of invitation to a guest speaker for your club meeting.



WEEK 8: OFFICE CORRESPONDENCE (PART 2)

Office correspondence refers to the exchange of written information, messages, and documents within or outside an organisation. It is an essential means of communication in business and helps in record-keeping, decision-making, and maintaining good relationships with clients, customers, and other organisations.

This lesson focuses on the **uses of office correspondence** and the **ways mails come into an organisation**.



USES OF OFFICE CORRESPONDENCE

Office correspondence plays a vital role in business administration and management. Its uses include:

1. Communication of Information

- It helps to pass messages between departments within the organisation.
- It is used to exchange information with external parties such as customers, suppliers, and government agencies.

2. Record Keeping

- Letters and mails provide a permanent record of business transactions and decisions.
- They serve as references for future actions and prevent disputes.

3. Legal Evidence

- Office correspondence can serve as proof of agreements, instructions, and decisions in case of disagreements or legal matters.

4. Decision-Making

- Correspondence provides managers and executives with the necessary information to make informed decisions.

5. Maintaining Business Relationships

- Letters of inquiry, orders, appreciation, and complaints help strengthen the relationship between an organisation and its clients or partners.

6. Promoting the Organisation's Image

- Well-written correspondence portrays the organisation as efficient, organised, and professional.

7. Instruction and Guidance

- Managers use correspondence to give directions and assign tasks to subordinates.

WAYS MAILS COME INTO AN ORGANISATION

Mails are the main form of correspondence that comes into an office. They can be received in various ways, including:

1. Postal Services

- Letters and parcels delivered through the post office.
- Can be ordinary mail, registered mail, or express delivery.

2. Courier Services

- Private delivery companies transport documents and parcels quickly and safely. Examples include DHL, UPS, and local courier services.

3. Hand Delivery

- Messages and documents can be delivered directly to the office by hand.
- Common in situations where the sender is nearby or wants immediate delivery.

4. Electronic Mail (E-mail)

- Messages sent electronically through the internet.
- It is fast, convenient, and widely used in modern organisations.

5. Telegrams and Telex (less common today)

- In the past, telegrams and telex were used for urgent messages. Though less common now, they paved the way for modern electronic communication.

6. Inward Memos and Internal Mails

- These are correspondences sent from one department of the organisation to another.
- They are usually sent through the office messenger or internal mailing system.

IMPORTANCE OF HANDLING INCOMING MAIL PROPERLY

- Ensures messages reach the right person or department promptly.

- Prevents loss or delay of important business information.
- Improves the efficiency and reputation of the organisation.

EVALUATION

1. Define office correspondence.
2. List and explain four uses of office correspondence.
3. State five ways through which mails can come into an organisation.
4. Why is proper handling of incoming mail important?
5. Mention two differences between postal services and courier services.

ASSIGNMENT

1. Write five ways office correspondence is useful to an organisation.
2. Explain four ways mails come into an organisation and give one advantage of each.
3. Differentiate between internal and external correspondence with examples.

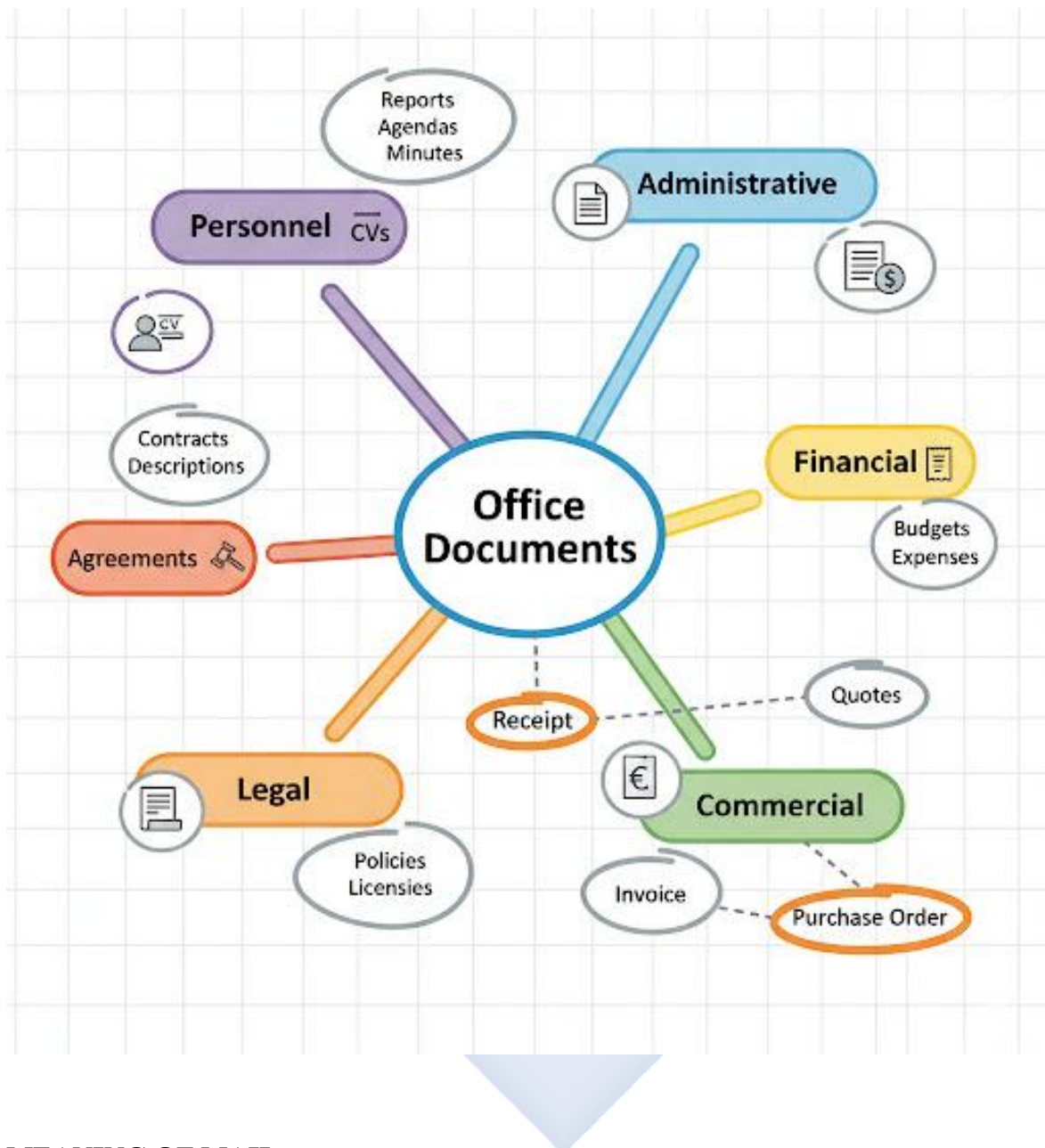
WEEK 9: HANDLING OF MAIL

- Inward mail and outward mail
- Mail handling procedures

INTRODUCTION

Every organization, whether public or private, receives and sends mail on a daily basis. Mail is an important means of official communication within and outside the organization. Proper handling of mail ensures smooth communication, efficiency in operations, and good record keeping.





MEANING OF MAIL

- **Mail** refers to all letters, parcels, documents, and messages received or sent out of an organization through postal services, couriers, hand delivery, or electronic means.
- It can be divided into:
 1. **Inward mail** – all letters and parcels received into an organization from outside.
 2. **Outward mail** – all letters and parcels sent out from an organization to other people or organizations.

INWARD MAIL

- **Meaning:** Mail coming into an organization from customers, clients, business partners, government, or the public.
- **Examples:** Orders from customers, official circulars, inquiries, complaints, bank statements, invoices, receipts, contracts.
- **Procedure for handling inward mail:**
 - Collection of mail from post office, courier, or delivery source.
 - Opening of mail by authorized officer or secretary.
 - Date stamping of all letters to mark receipt.
 - Sorting of letters according to departments or officers concerned.
 - Recording of all letters received in an **inward mail register**.
 - Distribution of mail to relevant offices or staff.

OUTWARD MAIL

- **Meaning:** Mail sent out from an organization to customers, suppliers, partners, or other institutions.
- **Examples:** Replies to inquiries, invoices, quotations, orders, receipts, appointment letters, circulars, reminders, newsletters.
- **Procedure for handling outward mail:**
 - Drafting and typing of outgoing letters.
 - Checking and correction (proofreading) for accuracy and clarity.
 - Signing of the letter by the authorized officer or manager.
 - Recording in an **outward mail register**.

- Insertion of letters into envelopes, sealing, and addressing.
- Stamping or franking with postage stamps/machine.
- Dispatching mail through post office, courier, or electronic means.

MAIL HANDLING PROCEDURES (GENERAL STEPS)

1. Collection of mail:

- Inward mail is collected from post office, courier service, or reception desk.
- Outward mail is collected from departments after approval.

2. Opening and sorting:

- Letters are opened (except confidential ones) by the mailing officer.
- Sorted according to urgency, department, or subject matter.

3. Recording:

- All inward and outward mails must be entered into registers for accountability.

4. Distribution:

- Mails are delivered promptly to the officers or departments concerned.

5. Filing:

- After action has been taken, copies of mails are filed for reference and record keeping.

IMPORTANCE OF PROPER MAIL HANDLING

- Ensures smooth communication in an organization.
- Prevents loss or misplacement of important documents.
- Enhances efficiency and quick decision-making.

- Promotes accountability and good record keeping.
- Projects the organization's image positively to outsiders.

EVALUATION

1. Define the term "mail."
2. Differentiate between inward mail and outward mail.
3. List and explain four procedures involved in handling inward mail.
4. State three procedures involved in dispatching outward mail.
5. Mention three reasons why proper mail handling is important in an organization.

ASSIGNMENT

1. Prepare a sample format of an **inward mail register** with at least five columns.
2. State five differences between inward mail and outward mail with examples.
3. Imagine you are a secretary in a company; describe step by step how you would handle ten incoming letters and five outgoing letters in a day.

WEEK 10: OFFICE DOCUMENTS

- Meaning of Office Documents
- Types of Office Documents
- Preparation and Uses of Sales and Purchase Documents

INTRODUCTION

In every office or business organization, different forms of documents are prepared and exchanged in the course of carrying out daily operations. These documents serve as **evidence of transactions**, tools for record keeping, and references for future actions. Without office documents, businesses would face confusion, disputes, and lack of accountability.

Office documents are therefore very essential because they show how goods are bought and sold, how services are rendered, and how financial activities are recorded. They are used for communication, transaction recording, and legal purposes in both private and government organizations.

MEANING OF OFFICE DOCUMENTS

Office documents are written records prepared and used in offices to facilitate business activities, confirm agreements, and provide evidence of transactions between parties. They are prepared either internally (within the office) or externally (between different organizations).

They can take the form of letters, vouchers, receipts, invoices, memos, and reports depending on their use.

TYPES OF OFFICE DOCUMENTS

Office documents can be broadly classified into the following groups:

1. **Administrative Documents**

- These include memos, reports, circulars, and internal notes used within the office to communicate and keep records.
- Example: a memo from the principal to teachers, a report on a school project.

2. Financial Documents

- These relate to money transactions and financial dealings.
- Examples: receipts, vouchers, payment slips, payrolls.

3. Commercial Documents

- These are documents used in buying and selling of goods and services.
- Examples: invoices, proforma invoices, debit notes, credit notes, delivery notes, purchase orders, waybills.

4. Legal Documents

- These are documents that have legal backing and can be used in court to settle disputes.
- Examples: contracts, agreements, deeds, certificates.

5. Personnel Documents

- These are records relating to employees in an organization.
- Examples: staff files, appointment letters, leave applications.

SALES AND PURCHASE DOCUMENTS

The most important office documents in business are sales and purchase documents because they deal with day-to-day trade transactions.

1. Purchase Order

- A document prepared by the buyer and sent to the seller, showing items, quantities, and terms of goods to be bought.

- Purpose: It serves as a formal request for goods.

2. Invoice

- A document sent by the seller to the buyer showing the description, quantity, unit price, total cost of goods, and terms of payment.
- Purpose: It serves as a bill for goods supplied and a record of sales.

3. Proforma Invoice

- A document sent before goods are supplied, giving an estimated cost.
- Purpose: It is usually used when the buyer requests the price quotation before ordering.

4. Delivery Note

- A document sent with the goods delivered, listing items supplied.
- Purpose: To confirm that the right goods have been delivered.

5. Receipt

- A document issued by the seller to acknowledge payment for goods purchased.
- Purpose: It serves as evidence of payment.

6. Debit Note

- A document sent by the buyer to the seller to indicate that goods supplied were overcharged or not up to standard.
- Purpose: To request correction of an overcharge.

7. Credit Note

- A document sent by the seller to the buyer acknowledging a reduction in the buyer's account due to return of goods or overcharge.
- Purpose: To correct errors or acknowledge returned goods.

PREPARATION OF SALES AND PURCHASE DOCUMENTS

- **Purchase Order:** Prepared by the buyer, containing buyer's name, address, items ordered, quantity, and agreed terms.
- **Invoice:** Prepared by the seller, showing goods supplied, cost, VAT (if any), and payment terms.
- **Delivery Note:** Prepared by the seller, signed by the buyer upon receipt of goods.
- **Receipt:** Prepared by the seller as acknowledgment of money received.
- **Credit and Debit Notes:** Prepared by seller or buyer as adjustments to invoices.

USES OF SALES AND PURCHASE DOCUMENTS

1. They serve as evidence of sales and purchase transactions.
2. They prevent disputes between buyers and sellers.
3. They act as records for accounting and auditing.
4. They enable buyers and sellers to know the details of the goods supplied and payments made.
5. They are useful for calculating profit and loss.

EVALUATION

1. What are office documents?
2. Mention and explain four types of office documents with examples.
3. Define invoice and state its uses.
4. Differentiate between a debit note and a credit note.
5. Why are sales and purchase documents important in business?

ASSIGNMENT

1. Write short notes on: (a) Purchase Order, (b) Proforma Invoice, (c) Delivery Note.
2. Prepare a sample invoice for the sale of 10 cartons of exercise books at ₦6,000 each, including 5% VAT.
3. State five reasons why receipts are important in business transactions.



JSS 2 BUSINESS STUDIES LESSON NOTES

SECOND TERM

Week	Topic	Content
1	Right Attitude to Work	Meaning; Punctuality; Regularity; Reward and punishment
2	Devotion to Duty	Attributes of people who are devoted to duty; Effects of devotion to duty
3	Commerce: The Heart of Business	Meaning and importance of trade; Forms of trade
4	Aids to Trade	Meaning; Types; Role of Customs and Excise in foreign trade
5	Midterm Examination	—
6	The Market	Meaning; Features of a market; Commodity, money and capital markets
7	Midterm Break	—
8	Careers in the Capital Market	Various careers; Importance of capital market to business
9	Buying and Selling	Buying by cash and credit; Cost of sales; Mark-up; Turnover
10	Profit and Loss	Calculation of profit/loss; Importance of profit to business
11	Revision	—
12	Examination	—
13	Closing	—

WEEK 1: RIGHT ATTITUDE TO WORK

Meaning of Right Attitude to Work

The **right attitude to work** refers to a positive and responsible approach towards one's duties and responsibilities in a workplace, school, or community. It is the habit of doing the right thing at the right time, with honesty, commitment, and dedication.

Having the right attitude to work shows seriousness, reliability, and a willingness to contribute to the growth of an organization or society. It is the opposite of laziness, lateness, negligence, dishonesty, and irresponsibility.



Characteristics of a Person with the Right Attitude to Work

- Punctuality and regular attendance.
- Willingness to follow instructions.
- Dedication and commitment to duties.
- Honesty and trustworthiness.
- Hard work and perseverance.
- Respect for authority and rules.
- Desire to improve and learn new skills.

Punctuality

Punctuality means being on time for work, school, meetings, or any important activity. It shows discipline, seriousness, and respect for others' time.

Benefits of punctuality include:

- Helps one start work early and finish on time.
- Creates a good impression on employers and teachers.
- Increases productivity.
- Builds trust and reliability.

Effects of lack of punctuality:

- Loss of respect and trust.
- Missed opportunities.
- Poor academic or work performance.
- Punishments or dismissal from work.

Regularity

Regularity means being consistent in attendance and performance of duties. A person who is regular attends work or school frequently without unnecessary absence.

Benefits of regularity include:

- Improved skills through constant practice.
- Achievement of set goals and targets.
- Better performance in school or workplace.
- Recognition and promotion.

Effects of irregularity:

- Lack of progress or success.
- Loss of opportunities.
- Poor reputation.
- Possible termination of job or failure in school.

Reward and Punishment

In every workplace or school, rewards and punishments are used to encourage good behavior and discourage bad habits.

Reward: A form of recognition given for good performance or right attitude.

Examples: praise, certificate, promotion, bonus, gift, scholarship.

Punishment: A corrective measure given for wrong behavior or poor attitude to work.

Examples: warning, fine, suspension, demotion, expulsion.

Importance of reward and punishment:

- Encourages people to put in their best.
- Promotes discipline and orderliness.

- Creates a sense of fairness and justice.
- Helps people to learn from mistakes and improve.

Importance of Right Attitude to Work

1. Promotes efficiency and productivity.
2. Enhances good relationships among workers and employers.
3. Builds personal integrity and reputation.
4. Leads to personal growth, promotions, and rewards.
5. Contributes to the growth and development of the organization and society.

EVALUATION

1. What is the meaning of the right attitude to work?
2. Mention four characteristics of a person with the right attitude to work.
3. Define punctuality and state three benefits of punctuality.
4. Explain the meaning of regularity and give two effects of irregularity.
5. Differentiate between reward and punishment with examples.

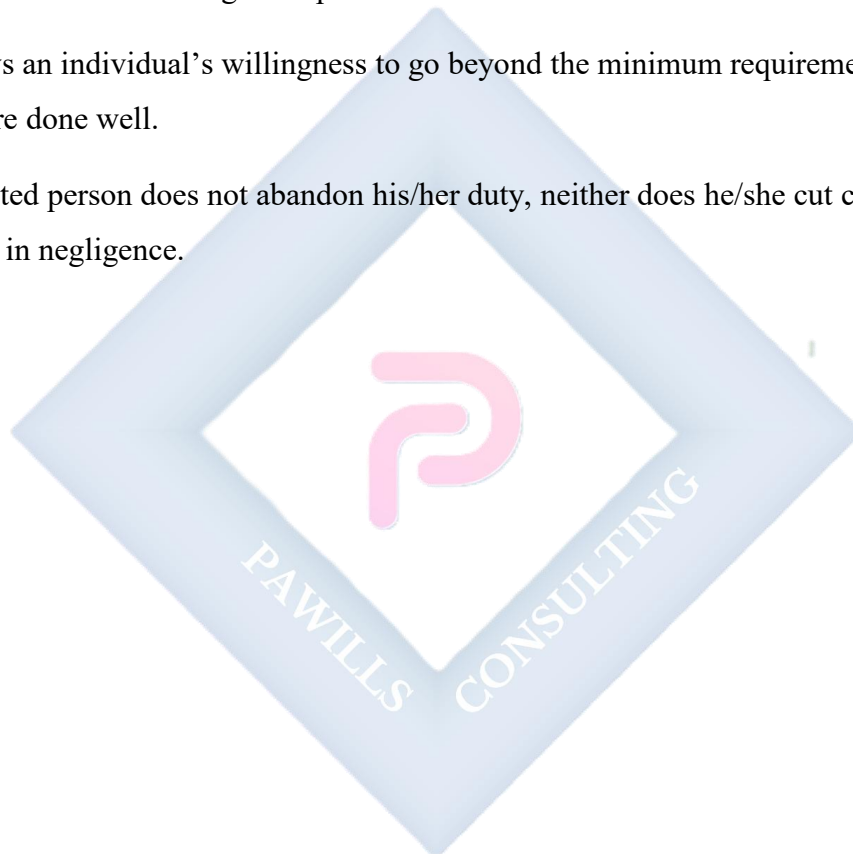
ASSIGNMENT

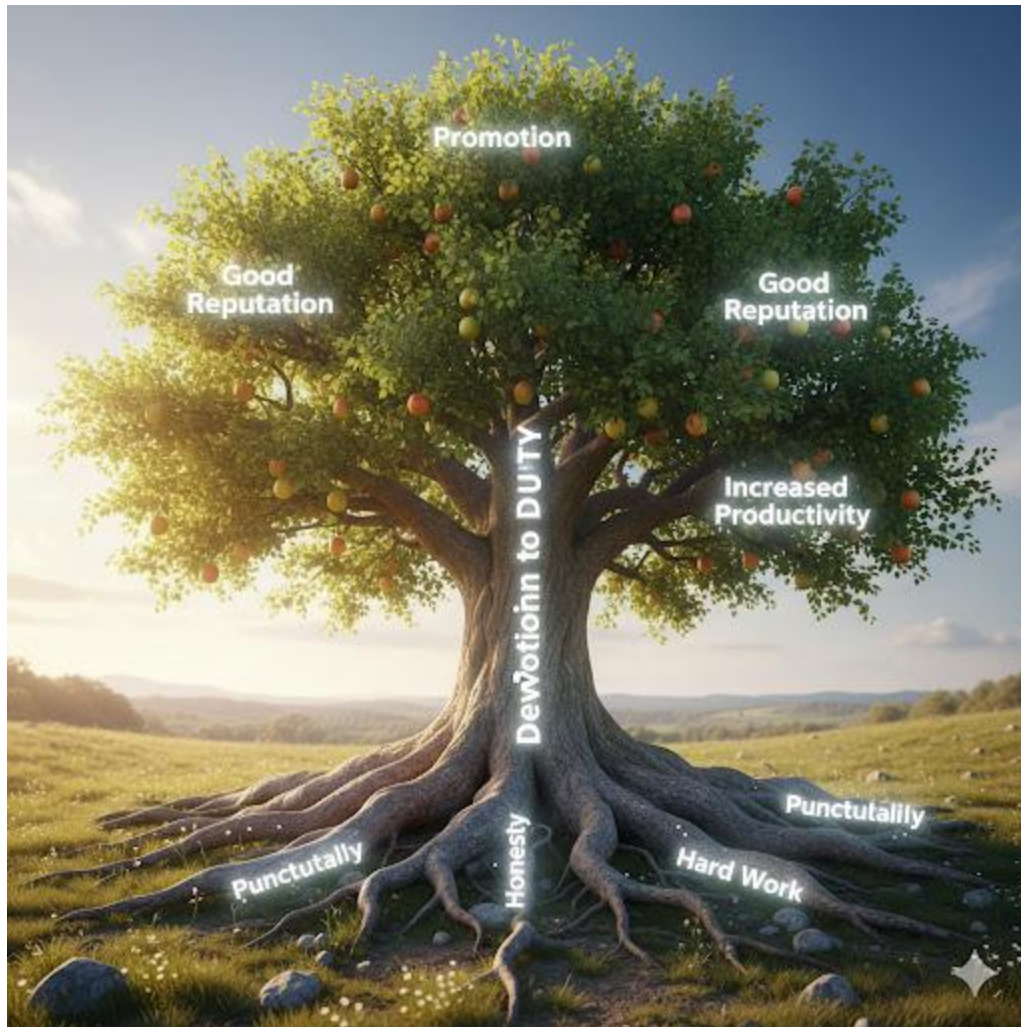
1. List and explain five importance of the right attitude to work.
2. State three benefits each of punctuality and regularity.
3. Write short notes on the following:
 - a) Reward
 - b) Punishment

WEEK 2: DEVOTION TO DUTY

MEANING OF DEVOTION TO DUTY

- **Devotion to duty** means total dedication, loyalty, and faithfulness in performing one's responsibilities whether in school, at home, or in the workplace.
- It is the act of carrying out assigned roles with **commitment, honesty, seriousness, and diligence** without waiting to be pushed or forced.
- It shows an individual's willingness to go beyond the minimum requirement to ensure tasks are done well.
- A devoted person does not abandon his/her duty, neither does he/she cut corners or engage in negligence.





Illustrations:

- A devoted student does assignments on time, attends lessons regularly, and studies hard.
- A devoted receptionist welcomes visitors politely, records information correctly, and ensures smooth communication in the office.
- A devoted farmer ensures his farm is weeded, watered, and maintained to produce good yield.

ATTRIBUTES OF PEOPLE WHO ARE DEVOTED TO DUTY

A devoted person possesses certain positive qualities that make him/her reliable. These include:

1. **Punctuality** – Always being on time at duty posts such as school, workplace, or meetings.
2. **Commitment** – Having determination and a strong sense of responsibility towards duties.
3. **Honesty** – Doing work truthfully, without deceit or falsification of results.
4. **Hard Work** – Willingness to put in effort and energy to achieve excellence.
5. **Discipline** – Ability to obey rules, regulations, and control one's behavior to remain focused.
6. **Reliability** – Being dependable; others can trust them to do tasks without close supervision.
7. **Diligence** – Paying attention to details and doing tasks thoroughly and carefully.
8. **Loyalty** – Standing by one's school, organization, employer, or community faithfully.
9. **Obedience** – Respecting constituted authority and following instructions promptly.
10. **Selflessness** – Putting the progress of the group, organization, or family before personal interest.
11. **Consistency** – Maintaining devotion continuously, not just once in a while.

EFFECTS OF DEVOTION TO DUTY

(a) Positive Effects

1. **Increased productivity** – Devotion ensures that work is done faster and better.
2. **Good reputation** – People who are devoted are trusted, admired, and respected.
3. **Promotion and rewards** – Devoted workers and students are recognized, rewarded, or promoted.
4. **Smooth running of activities** – Since duties are not neglected, organizations and schools run effectively.

5. **Better teamwork** – Devoted members motivate others to work hard.
6. **Personal development** – Builds character, integrity, and skills that make individuals successful.
7. **National growth** – A society filled with devoted citizens progresses faster.

(b) Negative Effects of Lack of Devotion to Duty

1. **Low productivity** – Work slows down and targets are not achieved.
2. **Loss of trust** – Colleagues, employers, or teachers cannot depend on such individuals.
3. **Bad reputation** – Seen as lazy, careless, or irresponsible.
4. **Loss of opportunities** – Undevoted people may miss promotions, jobs, or scholarships.
5. **Punishment or sanctions** – Can lead to suspension, dismissal, demotion, or expulsion.
6. **Failure of groups/organizations** – Lack of devotion from members can collapse a school club, office, or company.
7. **Stunted personal growth** – An undevoted person remains stagnant and unfulfilled in life.

PRACTICAL EXAMPLES OF DEVOTION TO DUTY

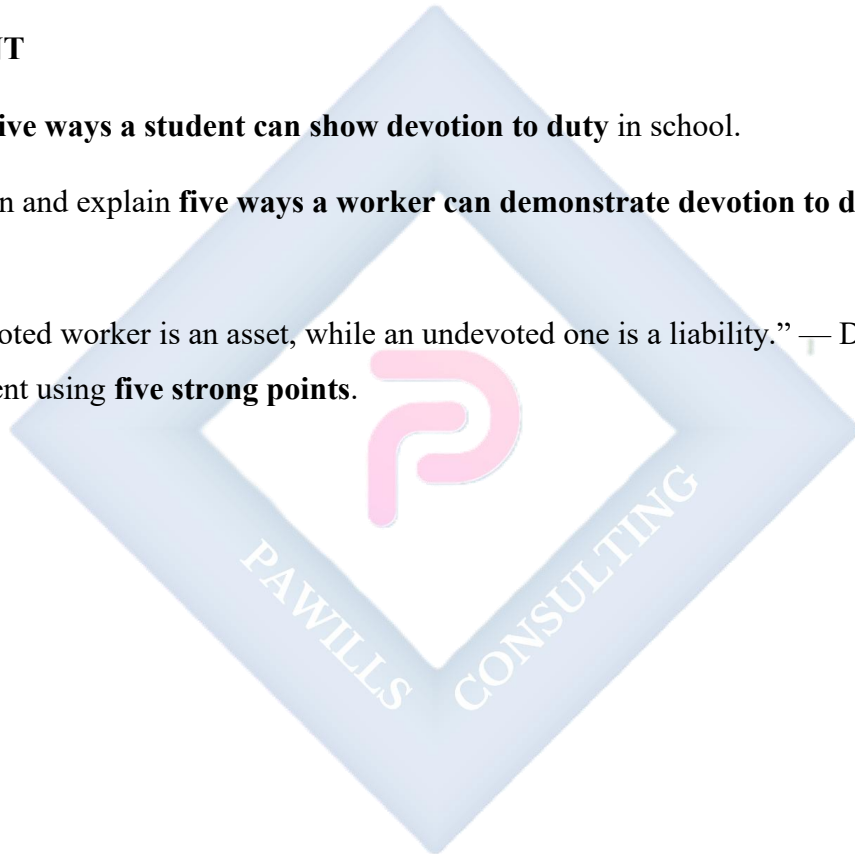
- **In School:** Doing assignments on time, obeying school rules, being punctual for lessons, preparing for examinations, and maintaining school property.
- **In the Workplace:** Reporting to work on time, attending to customers politely, keeping records properly, and ensuring equipment is well maintained.
- **At Home:** Children assisting with house chores responsibly, parents catering for the family's needs faithfully.
- **In Society:** Citizens obeying laws, paying taxes regularly, and protecting public property.

EVALUATION

1. Define devotion to duty.
2. List five attributes of a person devoted to duty.
3. Mention four positive effects of devotion to duty.
4. Identify four consequences of lack of devotion to duty.
5. Give two practical examples of devotion to duty in school and two in the workplace.

ASSIGNMENT

1. Write **five ways a student can show devotion to duty** in school.
2. Mention and explain **five ways a worker can demonstrate devotion to duty** in the office.
3. “A devoted worker is an asset, while an undevoted one is a liability.” — Discuss this statement using **five strong points**.



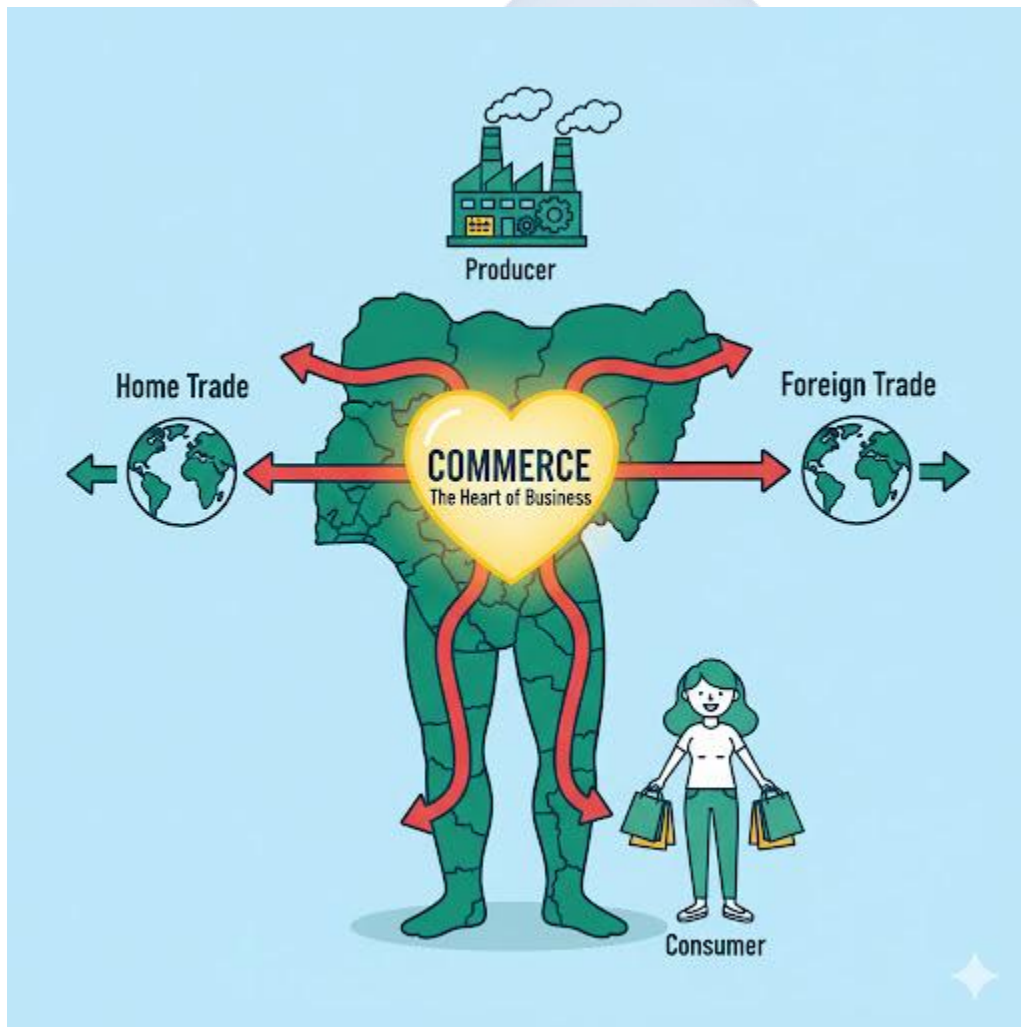
WEEK 3: COMMERCE – THE HEART OF BUSINESS

Meaning and Importance of Trade; Forms of Trade

INTRODUCTION

Business involves activities carried out to provide goods and services to satisfy human needs and wants. At the center of all business activities is **commerce**, which serves as the “heart of business.” Commerce is concerned with trade and all the services that make trade possible.

Without commerce, production would be meaningless because goods and services would not be able to reach consumers. In essence, commerce connects the producer to the consumer, ensuring that goods and services move smoothly within the economy.



MEANING OF TRADE

Trade is the buying and selling of goods and services. It is one of the major aspects of commerce. Trade provides a channel for producers to exchange their products for money and for consumers to obtain what they need.

Importance of Trade

1. **Exchange of Goods and Services:** It enables producers and consumers to meet each other's needs.
2. **Distribution of Goods:** Trade helps in moving goods from areas of surplus to areas of scarcity.
3. **Encourages Specialization:** Producers focus on producing certain goods because they know they can sell them through trade.
4. **Facilitates Economic Growth:** Trade generates revenue, employment, and development in society.
5. **Improves Standard of Living:** Consumers gain access to a wide range of products that improve comfort and lifestyle.
6. **International Relationship:** International trade promotes peace and cooperation among nations.

FORMS OF TRADE

Trade exists in two major forms: **Home (or Internal) Trade** and **Foreign (or International) Trade**.

1. **Home Trade (Internal Trade):**
 - This is trade carried out within a country's borders.
 - It involves buying and selling goods and services locally.
 - Examples: A farmer in Kano selling tomatoes to a trader in Lagos; a boutique in Abuja selling clothes to customers.
 - It is divided into:

- **Wholesale Trade:** Buying in large quantities from producers and selling in smaller quantities to retailers.
- **Retail Trade:** Buying in small quantities from wholesalers and selling directly to consumers.

2. Foreign Trade (International Trade):

- This is trade that takes place between one country and another.
- It allows nations to obtain goods they cannot produce or those they can produce but in limited quantity.
- Examples: Nigeria exporting crude oil to other countries or importing cars, electronics, and machinery.
- It is divided into:
 - **Import Trade:** Buying goods and services from other countries into one's country.
 - **Export Trade:** Selling goods and services produced in one's country to other nations.
 - **Entrepôt Trade (Re-export):** Importing goods from one country and re-exporting them to another country without major changes.

WHY COMMERCE IS THE HEART OF BUSINESS

- It provides the **avenue through which goods move** from producers to final consumers.
- Commerce involves both **trade and aids to trade** (such as banking, insurance, communication, advertising, and transport). These services make buying and selling possible and effective.
- Without commerce, production would end in waste since goods would not reach those who need them.

- Commerce ensures that business activities run smoothly, linking supply with demand.

EVALUATION

1. Define commerce and trade.
2. List and explain four importance of trade.
3. Distinguish between home trade and foreign trade.
4. Mention and explain the two main divisions of home trade.
5. State three reasons why commerce is described as the heart of business.

ASSIGNMENT

1. Explain five ways in which trade contributes to the development of a country.
2. Differentiate between import, export, and entrepôt trade with examples.
3. Write short notes on:
 - a. Wholesale trade
 - b. Retail trade
 - c. Importance of international trade to Nigeria.

WEEK 4: AIDS TO TRADE

1. Meaning of Aids to Trade
2. Importance of Aids to Trade
3. Types of Aids to Trade
4. Role of Customs and Excise in Foreign Trade



Meaning of Aids to Trade

- **Definition:** Aids to trade are all the services and activities that support, simplify, and facilitate buying and selling of goods and services, making trade easier and more efficient.
- They do not directly produce goods but **help in the distribution of goods and services.**

- Without aids to trade, commerce would be difficult, slow, and costly.

Examples: Transport, communication, banking, insurance, advertising, warehousing, tourism, customs and excise, etc.

Importance of Aids to Trade

- Facilitate smooth distribution of goods from producers to consumers.
- Create awareness about goods and services (through advertising).
- Protect businesses against risks (through insurance).
- Provide storage for goods until they are needed (warehousing).
- Provide money and credit facilities for business operations (banking).
- Help in collection of government revenue (customs and excise duties).
- Encourage international trade by making import and export possible.
- Increase efficiency and reduce waste.

Types of Aids to Trade

The major types include:

(a) Transport

- Moves goods and people from one place to another (land, water, air, pipeline).
- Ensures goods produced in one area reach consumers in other areas.

(b) Communication

- Transfer of information between buyers, sellers, and businesses.
- Examples: Telephone, internet, postal services, social media.
- Helps in giving orders, responding to customers, advertising.

(c) Banking

- Provides financial services to traders and businesses.
- Grants loans and credit, accepts deposits, enables electronic payments.
- Encourages savings and investment.

(d) Insurance

- Provides protection against risks and losses (e.g., fire, theft, accidents).
- Promotes confidence in trading.

(e) Advertising

- Makes goods and services known to the public.
- Creates demand, boosts sales, and informs consumers.

(f) Warehousing

- Storage of goods until they are needed.
- Stabilizes prices by controlling supply.
- Preserves goods from spoilage and damage.

(g) Tourism

- Promotes movement of people for leisure, trade fairs, exhibitions.
- Encourages cultural exchange and foreign exchange earnings.

(h) Customs and Excise

- Government agencies that regulate imports and exports.
- Collect revenue for the government.
- Protect local industries from harmful or excessive imports.

Role of Customs and Excise in Foreign Trade

- **Customs Service**

- Checks goods entering and leaving the country.
- Collects import and export duties (taxes on foreign goods).
- Prevents smuggling of illegal goods.
- Protects local industries by imposing tariffs on foreign goods.
- Ensures that only quality goods enter the country.

- **Excise Duties**

- Taxes imposed on goods produced locally within the country (e.g., alcohol, cigarettes, petroleum products).
- Provides government revenue.
- Helps regulate the consumption of harmful goods.

In summary: Customs and Excise play a dual role — revenue generation and trade regulation.

Evaluation:

1. Define aids to trade.
2. State four importance of aids to trade.
3. Mention and explain three types of aids to trade.
4. Differentiate between customs duties and excise duties.
5. State two roles of customs in foreign trade.

Assignment:

- Write short notes on **any five types of aids to trade**, giving practical examples.

WEEK 6: THE MARKET

- Meaning of a Market
- Features of a Market
- Commodity Market
- Money Market
- Capital Market

INTRODUCTION

The word *market* is commonly used to describe a physical place where buyers and sellers meet to exchange goods and services, such as Balogun Market in Lagos or Ariaria Market in Aba.

However, in Business Studies, the term **market** goes beyond just a physical location. A market exists anywhere buyers and sellers come into contact—physically or through other means like telephone, internet, or banking systems—for the purpose of exchanging goods and services.

Markets are essential in every economy because they create opportunities for trade, ensure goods and services are distributed, and allow money to circulate within the system.



MEANING OF A MARKET

A market is a system, structure, or arrangement that brings buyers and sellers of goods and services together for the purpose of exchange. It is not limited to physical space, but can also be virtual (like online markets), institutional (like the stock exchange), or informal (like roadside trading).

In summary, a market can be defined as:

1. A place where buyers and sellers meet to exchange goods and services.
2. Any arrangement that facilitates the exchange of goods and services between buyers and sellers.

FEATURES OF A MARKET

For a market to exist, the following features must be present:

1. **Presence of Buyers and Sellers** – Buyers demand goods and services while sellers provide them.
2. **Exchange of Goods and Services** – The primary purpose of a market is the exchange of goods and services for money or other goods.
3. **Medium of Exchange** – In most markets, money serves as the medium of exchange, but in some cases barter (exchange of goods for goods) may occur.
4. **Communication and Contact** – There must be a form of communication between buyers and sellers, either face-to-face or through technology.
5. **Competition** – Different sellers compete for buyers by offering better quality goods, lower prices, or better services.
6. **Demand and Supply** – The market is regulated by the forces of demand and supply. Prices are often determined by these forces.
7. **Variety of Goods and Services** – A market offers different kinds of goods and services to meet the diverse needs of consumers.

TYPES OF MARKETS

Markets can be classified based on the nature of the goods or services traded and the methods of operation. For JSS 2, we will focus on three important types:

1. Commodity Market

- This is a market where raw materials and agricultural produce are bought and sold.
- Examples: Cocoa market, Cotton market, Palm oil market, Grains market, Oil and gas market.
- **Features of Commodity Market:**
 - Involves buying and selling of physical goods (raw materials and farm produce).
 - Prices are usually influenced by demand and supply.
 - May be local (within Nigeria) or international (global trading of crude oil, gold, etc.).
- **Importance:** Provides raw materials for industries and food for the population.

2. Money Market

- This is a financial market where short-term funds and financial instruments are bought and sold (short-term means less than one year).
- Examples: Treasury bills, Bank loans, Commercial papers.
- **Institutions involved:** Commercial banks, Central bank, Finance houses.
- **Features of Money Market:**
 - Deals with short-term borrowing and lending.
 - Provides businesses with working capital.
 - Ensures liquidity in the economy.

- **Importance:** Helps businesses meet urgent financial needs and supports government short-term borrowing.

3. Capital Market

- This is a financial market where long-term funds and securities are traded (more than one year).
- Examples: Shares, Bonds, Debentures.
- **Institutions involved:** Nigerian Stock Exchange, Securities and Exchange Commission (SEC), Development banks.
- **Features of Capital Market:**
 - Provides long-term financing for industries and government projects.
 - Encourages investment by individuals and institutions.
 - Helps companies raise money by selling shares.
- **Importance:** Promotes economic development by financing large projects like roads, industries, and housing.

DIFFERENCE BETWEEN MONEY MARKET AND CAPITAL MARKET

Money Market	Capital Market
Deals with short-term funds (less than 1 year)	Deals with long-term funds (more than 1 year)
Instruments: Treasury bills, Certificates of Deposit, Commercial papers	Instruments: Shares, Bonds, Debentures
Provides working capital	Provides permanent or fixed capital
Institutions: Central Bank, Commercial Banks, Finance Houses	Institutions: Stock Exchange, Development Banks, SEC

EVALUATION

1. Define a market.
2. State four features of a market.
3. Differentiate between commodity market and money market.
4. Explain three functions of the capital market.
5. Mention three institutions that operate in the money market.

ASSIGNMENT

1. Prepare a table showing the features, examples, and functions of commodity, money, and capital markets.
2. Write short notes on any two financial instruments traded in the capital market.
3. Explain why the market is important in the study of Business Studies.

WEEK 8: CAREERS IN THE CAPITAL MARKET

The **capital market** is a segment of the financial system where long-term funds are raised and invested. It deals with instruments such as shares, stocks, bonds, and debentures. The capital market helps businesses, governments, and individuals raise funds for development projects.

This lesson focuses on **various careers in the capital market** and the **importance of the capital market to business**.



VARIOUS CAREERS IN THE CAPITAL MARKET

The capital market provides opportunities for diverse professional careers. Some of the careers include:

1. Stockbroker

- A licensed professional who buys and sells securities (shares, stocks, and bonds) on behalf of clients.
- Acts as an intermediary between investors and the stock exchange.

2. Investment Analyst

- Provides research and analysis on investment opportunities.
- Advises businesses and individuals on where to invest for maximum returns.

3. Fund/Portfolio Manager

- Manages investments for individuals, companies, or institutions.
- Ensures funds are invested in profitable ventures to generate returns.

4. Registrar

- Maintains records of shareholders in a company.
- Responsible for issuing share certificates, dividends, and handling changes in ownership.

5. Capital Market Lawyer

- Specialises in laws and regulations governing the capital market.
- Provides legal advice for companies issuing shares or bonds.

6. Accountants and Auditors

- Prepare financial reports and ensure compliance with financial regulations.
- Auditors verify financial records to build investor confidence.

7. Investment Banker

- Helps organisations raise capital through issuing shares, bonds, and other instruments.

- Advises on mergers, acquisitions, and corporate restructuring.

8. Securities and Exchange Commission (SEC) Officers

- Regulate the activities of the capital market.
- Ensure compliance with rules and protect investors from fraud.

9. Financial Journalists

- Report and analyse capital market trends for newspapers, television, and online platforms.
- Provide information that helps investors make decisions.

10. Information Technology Specialists

- Manage electronic trading platforms and digital security systems.
- Ensure smooth operation of stock exchange systems.

IMPORTANCE OF THE CAPITAL MARKET TO BUSINESS

The capital market is highly significant to business and national development. Its importance includes:

1. Provision of Long-Term Funds

- Businesses can raise money for expansion by selling shares and bonds.

2. Encourages Savings and Investment

- Provides individuals with opportunities to invest their money profitably.

3. Helps in Business Expansion

- Enables companies to generate funds for large projects such as new factories or new product development.

4. Promotes Economic Growth

- Mobilises funds from savers to businesses, leading to job creation and national development.

5. Provides Liquidity

- Investors can easily sell their securities to get cash when needed.

6. Promotes Transparency and Accountability

- Companies listed on the stock exchange must publish financial reports, ensuring public trust.

7. Helps Government Raise Funds

- Governments can issue bonds in the capital market to finance development projects.

8. Wealth Creation

- Investors earn dividends, interest, or capital gains on their investments.

EVALUATION

1. Define the capital market.
2. Mention five careers in the capital market and briefly explain what they involve.
3. State four importance of the capital market to businesses.
4. Explain the role of a stockbroker in the capital market.
5. Differentiate between the role of a registrar and a portfolio manager.

ASSIGNMENT

1. Identify and explain six careers that are available in the capital market.
2. State five reasons why the capital market is important to businesses in Nigeria.

3. Discuss two ways in which government makes use of the capital market.



WEEK 9: BUYING AND SELLING

- Buying by cash and credit
- Cost of sales
- Mark-up
- Turnover

INTRODUCTION

Buying and selling are the two major activities in commerce. They form the basis of trade and business transactions. Buying means acquiring goods or services by paying money or agreeing to pay later, while selling means transferring goods or services to a buyer in exchange for payment.



BUYING BY CASH AND CREDIT

- **Buying by Cash**
 - Payment is made immediately after purchasing goods.
 - The buyer takes full ownership once payment is made.
 - Examples: Buying food in the market, fuel at a filling station.
 - **Advantages:**

- No debt burden.
- Buyer enjoys discount for immediate payment.
- Seller has ready cash for use.
- **Disadvantages:**
 - Buyer may be unable to purchase large quantities.
 - Limits purchases to available money.
- **Buying by Credit**
 - Payment is postponed to a later date after goods are received.
 - Seller allows the buyer to pay after an agreed period.
 - Examples: Buying clothes on credit from a shop, obtaining farm inputs from suppliers.
 - **Advantages:**
 - Enables buyer to obtain goods even without immediate cash.
 - Encourages higher sales for the seller.
 - Helps businesses maintain good customer relations.
 - **Disadvantages:**
 - Buyer may become indebted.
 - Seller risks non-payment (bad debt).
 - May lead to higher prices to cover risks.

COST OF SALES

- **Meaning:** The total cost incurred in producing or purchasing goods that are sold.

- It includes purchase price plus all expenses involved in getting goods ready for sale (transport, storage, packaging, etc.).

- **Formula:**

$$\text{Cost of Sales} = \text{Opening Stock} + \text{Purchases} - \text{Closing Stock}$$

- **Example:**

- Opening stock = ₦50,000
- Purchases = ₦30,000
- Closing stock = ₦20,000
- Cost of Sales = 50,000 + 30,000 – 20,000 = ₦60,000

MARK-UP

- **Meaning:** The difference between the cost price and selling price of goods, usually expressed as a percentage of cost price.
- It represents the profit margin added by the seller.
- **Formula:**

$$\text{Mark-up (\%)} = \frac{\text{Selling Price} - \text{Cost Price}}{\text{Cost Price}} \times 100$$

- **Example:**

- Cost Price = ₦500
- Selling Price = ₦650
- Mark-up = (650 – 500) ÷ 500 × 100 = 30%

TURNOVER

- **Meaning:** The total value of sales made within a given period (usually a year). It measures how much business a firm has done.
- It shows the efficiency and growth of the business.
- **Formula:**

Turnover = Total Sales within a period

- Example:
 - A shop sells goods worth ₦200,000 in a year.
 - Turnover = ₦200,000.

IMPORTANCE OF UNDERSTANDING BUYING AND SELLING TERMS

- Helps businessmen fix appropriate selling prices.
- Ensures proper record keeping and profitability.
- Encourages better decision-making in trading.
- Prevents losses from poor pricing or wrong credit policies.

EVALUATION

1. Define buying and selling.
2. Distinguish between buying by cash and buying by credit (state 3 points each).
3. What is cost of sales? Write its formula.
4. If Cost Price = ₦2,000 and Selling Price = ₦2,400, calculate the mark-up percentage.
5. Explain turnover with an example.

ASSIGNMENT

1. List five advantages and five disadvantages of buying by credit.
2. A trader has an opening stock of ₦100,000, makes purchases of ₦80,000, and closes with a stock of ₦40,000. Calculate the cost of sales.
3. A business records total sales of ₦500,000 in one year. Explain what this means in terms of turnover.

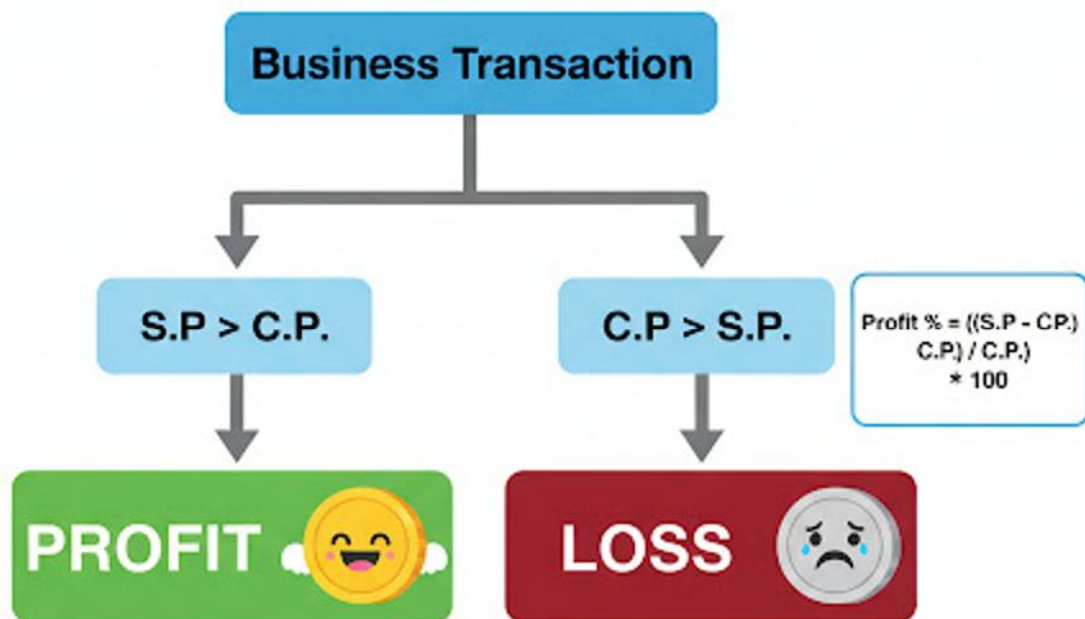


WEEK 10: PROFIT AND LOSS

- Calculation of profit and loss
- Importance of profit to business

INTRODUCTION

Every business exists to make profit. Profit and loss are financial results of trading activities. If the selling price of goods is greater than the cost price, profit is made. If the selling price is less than the cost price, a loss occurs. Understanding profit and loss helps entrepreneurs measure the success or failure of their business.



CALCULATION OF PROFIT AND LOSS

- Key Terms
 - **Cost Price (C.P):** The price at which goods are bought or produced.

- **Selling Price (S.P):** The price at which goods are sold.
- **Profit:** When Selling Price > Cost Price.
- **Loss:** When Cost Price > Selling Price.

- **Formulas**

- Profit = S.P – C.P
- Loss = C.P – S.P
- Profit % = (Profit ÷ C.P) × 100
- Loss % = (Loss ÷ C.P) × 100

- **Worked Examples**

1. A trader bought goods for ₦5,000 and sold them for ₦6,000.
 - Profit = 6,000 – 5,000 = ₦1,000
 - Profit % = (1,000 ÷ 5,000) × 100 = 20%
2. A radio was bought for ₦8,000 but sold for ₦7,000.
 - Loss = 8,000 – 7,000 = ₦1,000
 - Loss % = (1,000 ÷ 8,000) × 100 = 12.5%

IMPORTANCE OF PROFIT TO BUSINESS

- **Sustains the Business:** Provides funds for daily operations.
- **Expansion:** Enables the business to grow and open new branches.
- **Reward for Risk-Taking:** Entrepreneurs are encouraged to continue business despite uncertainties.
- **Improves Standard of Living:** Higher profit allows business owners to live better and provide for family needs.

- **Employment Creation:** Profitable businesses expand and employ more workers.
- **Reinvestment:** Profit can be reinvested into research, new technology, and equipment.
- **Government Revenue:** Profitable businesses pay taxes, which increase national development.
- **Motivation:** Profit encourages innovation, hard work, and efficiency.

DIFFERENCES BETWEEN PROFIT AND LOSS

Profit	Loss
Occurs when $S.P > C.P$	Occurs when $C.P > S.P$
Brings financial gain to the business	Brings financial setback
Encourages business expansion	May cause business closure
Motivates the entrepreneur	Discourages investment if persistent

EVALUATION

1. Define profit and loss.
2. State the formulas for calculating profit and loss.
3. A trader bought a bag of rice for ₦20,000 and sold it for ₦23,000. Calculate the profit and profit %.
4. Mention four importance of profit to a business.
5. Differentiate between profit and loss in two ways.

ASSIGNMENT

1. If a businessman bought a bicycle for ₦15,000 and sold it for ₦12,500, calculate the loss and loss %.
2. State five reasons why profit is important to a business.
3. A trader bought an item for ₦2,500 and sold it for ₦3,000. Calculate the profit and profit %.



JSS 2 BUSINESS STUDIES LESSON NOTES

THIRD TERM

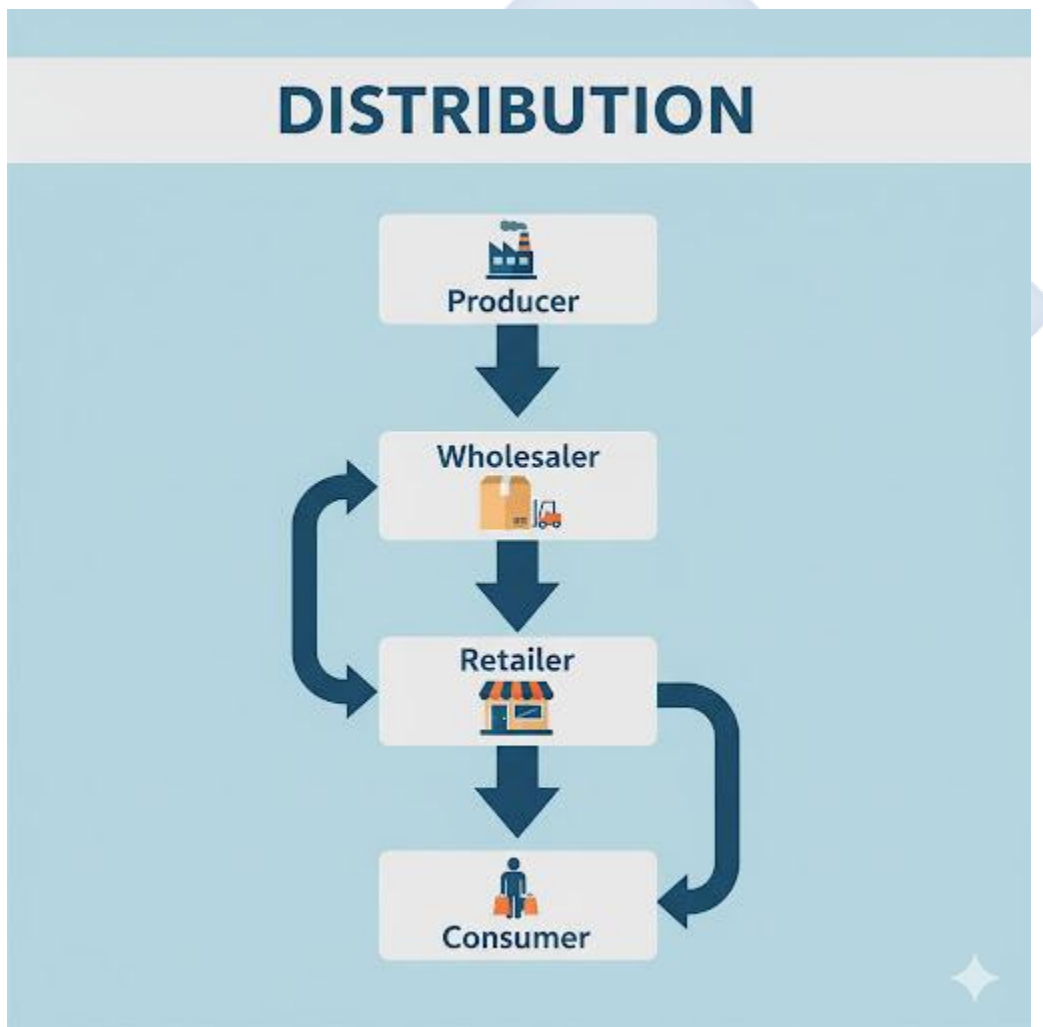
Week	Topic	Content
1	Distribution	Meaning; Channels of distribution; Functions of wholesalers and retailers
2	Licensed Chemical Vendors	Handling & distribution of chemicals; Effects of wrong handling
3	Financial Institutions: Banks	Commercial banks; Bank services; Ethical issues in banking
4	Insurance	Meaning; Services rendered by insurance companies; Types and benefits of insurance
5	Midterm Examination	—
6	Entrepreneurship	Meaning; Definition of entrepreneur; Personal qualities of an entrepreneur
7	Midterm Break	—
8	Business Opportunities	Meaning; How to discover opportunities; Types (local, national, international)
9	Consumer Rights & Responsibilities	Meaning of consumer rights; Consumerism; Eight universal rights of a consumer; Responsibilities of consumers
10	Shopping and After-Sales Services	Needs vs wants; Decision making; Impulse buying and its effects; After-sales services
11	Revision	—
12	Examination	—
13	Closing	—

WEEK 1: DISTRIBUTION

Meaning of Distribution

Distribution refers to the process of making goods and services available from the point of production (the manufacturer or producer) to the final consumer. It involves all the activities, people, and channels that ensure that goods produced in farms, factories, or workshops reach those who need or want them.

In other words, distribution is the link between producers and consumers. Without distribution, goods would remain in the place of production and would not serve the needs of people in different locations.



Channels of Distribution

Channels of distribution are the paths or routes through which goods and services move from the producers to the final consumers. They involve middlemen such as wholesalers and retailers, as well as institutions that help in the movement of goods.

The main channels of distribution are:

1. Producer → Consumer

- This is a direct channel where the producer sells directly to the final consumer.
- Example: A farmer selling vegetables directly to families in a local market.

2. Producer → Retailer → Consumer

- Here, the producer sells goods directly to the retailer, who then sells to the final consumer.
- Example: Shoe manufacturers selling directly to shoe shops that sell to customers.

3. Producer → Wholesaler → Retailer → Consumer

- In this channel, the producer sells in bulk to wholesalers. The wholesaler then sells to retailers, and the retailers sell to the consumers.
- Example: Beverage companies (Coca-Cola) → major distributors (wholesalers) → supermarkets/shops (retailers) → final consumers.

4. Producer → Agent → Wholesaler → Retailer → Consumer

- An agent serves as a representative of the producer, helping to sell goods to wholesalers. The goods later pass through retailers to consumers.
- Example: Exporting companies using shipping agents to reach foreign wholesalers before goods get to retailers.

Functions of Wholesalers

Wholesalers are middlemen who buy goods in large quantities from producers and sell in smaller quantities to retailers.

Functions of wholesalers include:

- **Bulk breaking:** Buying goods in large quantities from producers and selling in smaller quantities to retailers.
- **Storage:** Providing storage facilities to keep goods until they are needed.
- **Financing:** Offering credit facilities to retailers and sometimes to producers.
- **Risk bearing:** Taking responsibility for risks such as damage, spoilage, or unsold stock.
- **Transportation:** Helping in the movement of goods from producers to retailers.
- **Market information:** Providing valuable feedback to producers about consumer needs, demand, and market trends.
- **Advertising support:** Assisting in promoting goods through displays and advertisements.

Functions of Retailers

Retailers are middlemen who buy goods in smaller quantities from wholesalers or producers and sell directly to the final consumers.

Functions of retailers include:

- **Selling in small units:** Breaking bulk and selling in the quantities needed by consumers.
- **Providing variety:** Offering consumers different brands, sizes, and qualities of goods to choose from.
- **Information supply:** Giving producers feedback about customers' needs, preferences, and complaints.
- **Credit facilities:** Sometimes granting credit to regular customers.
- **After-sales services:** Offering services such as delivery, installation, and repairs (e.g., electronics dealers).
- **Advertising and promotion:** Displaying and promoting goods to increase sales.

- **Convenience:** Bringing goods closer to consumers in their localities.

Importance of Distribution

1. Makes goods available to consumers at the right place and time.
2. Helps producers to sell their goods and make profit.
3. Encourages mass production since producers are sure of distribution outlets.
4. Provides employment opportunities (wholesalers, retailers, transporters, agents).
5. Facilitates the flow of market information between consumers and producers.
6. Enhances economic growth by ensuring steady flow of goods and services.

EVALUATION

1. Define distribution.
2. List and explain four channels of distribution.
3. State five functions of wholesalers.
4. Mention five functions of retailers.
5. Give three reasons why distribution is important in business.

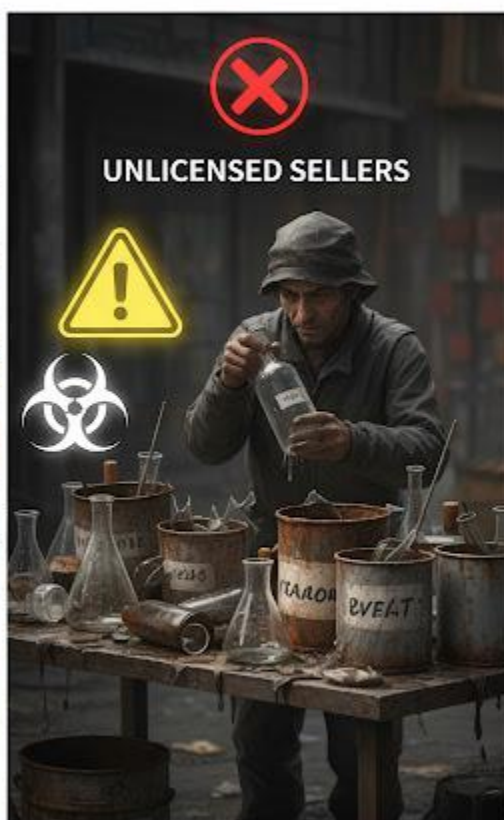
ASSIGNMENT

1. Draw and explain the channel of distribution that involves wholesalers, retailers, and consumers.
2. List and explain any four advantages of using wholesalers in the distribution process.
3. Explain three differences between wholesalers and retailers.

WEEK 2: LICENSED CHEMICAL VENDORS

MEANING OF LICENSED CHEMICAL VENDOR

- A **licensed chemical vendor** is an individual or business enterprise that is **legally permitted by the government through regulatory agencies** (such as Pharmacists Council of Nigeria – PCN, or NAFDAC) to sell and distribute certain categories of drugs and chemicals to the public.
- They serve as **community-based drug vendors** especially in rural areas where access to standard pharmacies may be limited.
- Licensing ensures that only trained and approved vendors are allowed to handle, stock, and sell chemicals or drugs.



HANDLING AND DISTRIBUTION OF CHEMICALS

Licensed chemical vendors must handle and distribute chemicals carefully because of their **sensitive nature**. Proper handling prevents accidents, poisoning, or misuse.

Ways of handling chemicals:

1. **Proper storage** – Chemicals should be kept in well-labeled containers, away from children, fire, or direct sunlight.
2. **Accurate measurement** – Dosages must be carefully measured to avoid overdose or underdose.
3. **Good record-keeping** – Details of chemicals purchased, sold, or dispensed should be recorded.
4. **Observing expiry dates** – Expired chemicals must never be sold or used.
5. **Hygiene and safety practices** – Clean environment, use of gloves, protective equipment, and washing of hands after handling.
6. **Knowledge of usage** – Vendors should know what each chemical is used for and how to advise customers correctly.
7. **Avoiding self-prescription** – Vendors must not prescribe drugs beyond their scope but should refer serious cases to hospitals.

Distribution of chemicals:

1. **Through registered outlets only** – Chemicals must be sold at recognized and approved shops, not in markets or on the streets.
2. **Following government regulations** – Only chemicals/drugs permitted under the license should be distributed.
3. **Supplying in small quantities** – Chemicals should not be distributed in bulk to untrained persons.
4. **Safe transportation** – Chemicals must be moved using safe containers and vehicles, not exposed to contamination.

5. **Community accessibility** – Vendors serve as the nearest points of access for basic medications in rural and semi-urban areas.

EFFECTS OF WRONG HANDLING OF CHEMICALS

If chemicals are mishandled, several **negative consequences** can occur:

(a) On Health

- **Poisoning** from accidental ingestion.
- **Drug resistance** from misuse of antibiotics.
- **Death** from overdose or toxic exposure.
- **Spread of diseases** if expired or contaminated drugs are sold.

(b) On Society

- **Increase in fake/illegal drug circulation.**
- **Loss of trust** in health care systems.
- **Drug abuse and addiction** if chemicals like sedatives or narcotics are mishandled.

(c) On Business/Economy

- **Revocation of license** of careless vendors.
- **Legal penalties** such as fines, imprisonment, or shop closure.
- **Financial loss** due to spoilage, wastage, or confiscation of goods.
- **Loss of customers** as people avoid vendors known for wrong practices.

IMPORTANCE OF LICENSING CHEMICAL VENDORS

1. **Ensures safety of the public** by controlling who handles drugs/chemicals.
2. **Prevents circulation of fake or harmful drugs.**

3. **Promotes accountability and professionalism.**
4. **Brings chemicals closer to rural communities.**
5. **Protects lives and property** through safe handling guidelines.

EVALUATION

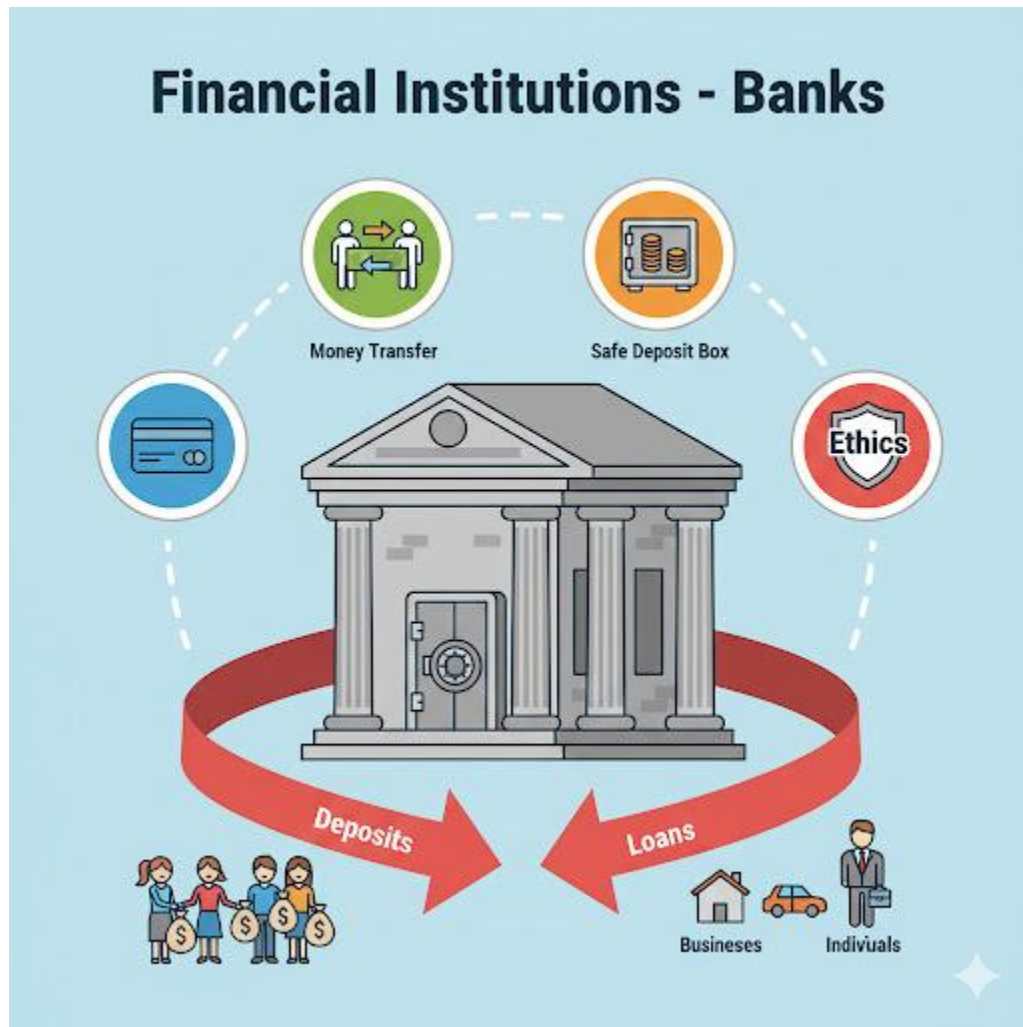
1. Who is a licensed chemical vendor?
2. Mention four ways chemical vendors can handle chemicals safely.
3. List three methods of proper distribution of chemicals.
4. State four effects of wrong handling of chemicals.
5. Give three reasons why government issues licenses to chemical vendors.

ASSIGNMENT

1. Explain **five differences between licensed and unlicensed chemical vendors.**
2. Discuss **five responsibilities of a licensed chemical vendor to the community.**
3. Write short notes on **three effects of wrong handling of chemicals on health, society, and the economy.**

WEEK 3: FINANCIAL INSTITUTIONS – BANKS

Commercial Banks; Bank Services; Ethical Issues in Banking



INTRODUCTION

Financial institutions are establishments that deal with the management of money, including accepting deposits, giving loans, and offering other financial services. Among all financial institutions, banks are the most popular and widely used. A bank is a licensed financial institution that receives deposits from individuals, organizations, and governments, and makes these funds available to those who need them. Banks also provide various services that aid commerce and general economic growth.

COMMERCIAL BANKS

Commercial banks are financial institutions that accept deposits from the public, provide loans, and offer other financial services for profit. They operate under government regulations and play a vital role in the economy by keeping money safe and ensuring that funds circulate productively.

Functions of Commercial Banks include:

1. Accepting deposits from customers.
2. Giving loans and overdrafts to individuals and businesses.
3. Providing safe-keeping for valuables like documents and jewellery.
4. Issuing debit and credit cards for transactions.
5. Facilitating payments through cheques, drafts, and electronic transfers.
6. Serving as agents for customers in the purchase of shares, bonds, and other investments.
7. Providing foreign exchange services for international trade.

BANK SERVICES

Banks provide a wide range of services to individuals, businesses, and governments. These include:

1. **Deposit Services:** Customers can open savings, current, and fixed deposit accounts.
2. **Loan and Credit Facilities:** Banks grant personal loans, business loans, overdrafts, and mortgages.
3. **Payment Services:** Banks enable customers to make payments using cheques, ATM cards, mobile apps, and online banking platforms.
4. **Money Transfer Services:** Local and international money transfers can be carried out through banks.
5. **Advisory Services:** Banks advise customers on investment opportunities and financial management.

6. **Foreign Exchange Services:** Banks provide currency exchange for international business and travel.
7. **Agency Services:** Banks can act on behalf of customers in buying and selling shares, collecting dividends, and paying bills.
8. **Safekeeping Services:** Banks provide lockers and vaults for securing valuables.

ETHICAL ISSUES IN BANKING

Since banks handle people's money and sensitive information, ethical conduct is very important. Banking ethics refers to the moral principles that guide how bankers relate with customers, colleagues, and the public.

Some ethical issues in banking include:

1. **Honesty and Integrity:** Bank officials must be truthful and trustworthy in dealing with customers' funds.
2. **Confidentiality:** Banks must keep customers' financial details private and not disclose them to unauthorized persons.
3. **Fairness:** Customers should be treated fairly without discrimination based on wealth, race, gender, or status.
4. **Avoiding Fraud and Corruption:** Bank staff must not misuse customers' money or engage in fraudulent practices.
5. **Transparency:** Charges, interest rates, and other conditions must be clearly explained to customers.
6. **Professionalism:** Bank workers should maintain good conduct, courtesy, and efficiency in service delivery.

IMPORTANCE OF BANKS IN BUSINESS AND SOCIETY

- Provide safe custody for money and valuables.
- Encourage saving habits among people.
- Provide loans that help businesses grow.
- Facilitate smooth payment systems for trade and commerce.
- Promote economic development by financing government projects and industries.

EVALUATION

1. Define a bank and explain the functions of commercial banks.
2. Mention five services provided by banks.
3. Explain three ethical issues in banking.
4. Why are banks considered important to business activities?
5. Differentiate between loans and overdrafts.

ASSIGNMENT

1. Explain six functions of commercial banks with examples.
2. Discuss five banking services that are useful to businessmen and traders in Nigeria.
3. Write short notes on the following banking ethical issues:
 - a. Confidentiality
 - b. Honesty and integrity
 - c. Transparency

WEEK 4: INSURANCE

1. Meaning of Insurance
2. Services Rendered by Insurance Companies
3. Types of Insurance
4. Benefits of Insurance



Meaning of Insurance

- **Definition:** Insurance is a contractual agreement between an individual (the insured) and an insurance company (the insurer), where the insured pays a regular amount called a

premium, and in return, the insurance company provides financial protection against specific risks or losses.

- It is a means of **transferring risk** from an individual or business to an insurance company.
- Insurance covers unexpected events such as **fire, accident, theft, death, sickness, burglary, flood, etc.**

Key Terms in Insurance:

- **Insurer:** The insurance company.
- **Insured:** The individual or business that buys insurance.
- **Premium:** The amount of money paid by the insured to the insurer.
- **Policy:** The written document containing terms and conditions of the insurance contract.
- **Claim:** A request made by the insured for compensation when a loss occurs.

Services Rendered by Insurance Companies

Insurance companies provide several services, such as:

1. **Risk Protection** – Protect individuals and businesses from financial loss.
2. **Claims Settlement** – Compensate insured persons in case of loss.
3. **Investment of Funds** – Invest premiums collected to earn income, which also supports economic growth.
4. **Advice to Clients** – Provide expert guidance on risk management and financial planning.
5. **Employment Generation** – Provide jobs for agents, brokers, underwriters, and other staff.
6. **Promotion of Trade and Industry** – By reducing business risks, they encourage entrepreneurs to invest.

Types of Insurance

There are many types of insurance, but the major ones are:

(a) Life Insurance:

- Provides financial protection in the event of death or after a set period.
- Helps family members when the breadwinner dies.

(b) Fire Insurance:

- Provides compensation if goods, houses, or offices are destroyed by fire.

(c) Marine Insurance:

- Covers goods and ships against losses or damages during sea transport.

(d) Motor (Vehicle) Insurance:

- Provides cover against accidents, theft, or damage of vehicles.
- In many countries (including Nigeria), it is compulsory for vehicle owners.

(e) Health/Medical Insurance:

- Provides cover for medical treatment in case of illness or accidents.

(f) Burglary/Theft Insurance:

- Protects against losses from burglary or theft of goods and property.

(g) Agricultural Insurance (modern practice):

- Protects farmers against crop failure, pest invasion, or natural disasters.

Benefits of Insurance

1. Provides **financial protection** against unexpected loss.
2. Encourages **savings habit** because regular premiums must be paid.

3. Provides **peace of mind** and confidence to individuals and businesses.
4. Enables businesses to take **risks and expand**, knowing losses are covered.
5. Contributes to **economic development** by investing collected funds.
6. Provides **compensation** to victims of accidents, fire, or disasters.
7. Protects the **standard of living** of families when the breadwinner dies.
8. Provides **employment opportunities** in the economy.

Evaluation

1. Define insurance.
2. State three services rendered by insurance companies.
3. List five types of insurance and explain any two.
4. State four benefits of insurance.
5. Differentiate between insurer and insured.

Assignment:

- Write short notes on the following:
 - a. Premium
 - b. Claim
 - c. Policy
 - d. Fire Insurance
 - e. Life Insurance

WEEK 6: ENTREPRENEURSHIP

- Meaning of Entrepreneurship
- Definition of an Entrepreneur
- Personal Qualities of an Entrepreneur

INTRODUCTION

In today's world, one of the strongest drivers of economic growth is **entrepreneurship**. All over Nigeria and beyond, individuals start small businesses, create innovative products, and provide services that not only earn them income but also create jobs for others. Entrepreneurship is one of the most important areas of Business Studies because it equips learners with the mindset and skills to be self-reliant, creative, and productive members of society.



MEANING OF ENTREPRENEURSHIP

Entrepreneurship refers to the process of identifying business opportunities, gathering resources, and taking the risk of establishing and managing a business venture in order to make profit. It involves creativity, innovation, and willingness to accept risks with the aim of solving human problems through goods and services.

In simple terms, **entrepreneurship is the act of starting, organizing, and managing a business, while bearing the risks, in order to make profit.**

DEFINITION OF AN ENTREPRENEUR

An **entrepreneur** is a person who identifies a need in society, thinks of a business idea to meet that need, organizes resources (capital, labour, land, and management), takes risks, and establishes a business with the aim of making profit.

An entrepreneur is therefore:

1. An **initiator** – the one who comes up with a new idea or opportunity.
2. A **risk-taker** – willing to take financial and personal risks.
3. An **organizer** – brings together human and material resources.
4. An **innovator** – introduces new products, services, or methods of production.

Examples of Entrepreneurs in Nigeria: Aliko Dangote (Dangote Group), Ibukun Awosika (The Chair Centre), Tony Elumelu (UBA/Heirs Holdings), Jason Njoku (IROKOtv), and Adenike Ogunlesi (Ruff 'n' Tumble).

PERSONAL QUALITIES OF AN ENTREPRENEUR

To succeed as an entrepreneur, a person needs certain qualities or characteristics. Some of these qualities include:

1. **Creativity and Innovation** – Ability to think of new ideas, develop new products, or improve existing ones.
2. **Risk-taking Ability** – Readiness to take business risks with money, time, and resources.
3. **Self-confidence** – Strong belief in one's ability to succeed and achieve business goals.
4. **Perseverance and Determination** – Ability to remain focused and not give up easily, even in the face of difficulties.
5. **Good Leadership and Managerial Skills** – Ability to direct workers, organize resources, and take decisions.
6. **Vision** – Ability to plan ahead, see opportunities, and set goals for the future.
7. **Hard Work and Discipline** – Willingness to work long hours and remain disciplined with time and resources.
8. **Flexibility** – Ability to adapt to changes in the market and adjust strategies when necessary.
9. **Good Communication Skills** – Ability to communicate with workers, customers, and investors clearly and effectively.
10. **Honesty and Integrity** – Being truthful, fair, and transparent in dealing with others to build trust and reputation.

IMPORTANCE OF ENTREPRENEURSHIP

Entrepreneurship plays a very important role in the development of individuals and the economy as a whole. Its importance includes:

1. **Job Creation** – Entrepreneurs establish businesses that employ people.
2. **Wealth Creation** – Profits earned by entrepreneurs contribute to personal and national wealth.

3. **Innovation and Development** – Introduction of new products and services improves living standards.
4. **Reduction of Poverty** – By providing employment and income, entrepreneurs help reduce poverty.
5. **Economic Growth** – Entrepreneurship supports industrialization, commerce, and economic development.
6. **Self-Reliance** – Individuals become independent instead of depending only on paid jobs.

EVALUATION

1. Define entrepreneurship in your own words.
2. Who is an entrepreneur? Give three examples of entrepreneurs in Nigeria.
3. Mention five personal qualities of a successful entrepreneur.
4. Explain three reasons why entrepreneurship is important in the economy.
5. Differentiate between an entrepreneur and entrepreneurship.

ASSIGNMENT

1. Write short notes on any four qualities of an entrepreneur you admire and explain why they are important.
2. Conduct a brief research on a Nigerian entrepreneur of your choice. Write about their background, business, and qualities that made them successful.
3. Explain how entrepreneurship can reduce unemployment in Nigeria.

WEEK 8: BUSINESS OPPORTUNITIES

Business opportunities are chances or favourable conditions that allow individuals or organisations to start, expand, or invest in profitable ventures. Recognising and utilising business opportunities is essential for entrepreneurship and economic growth.

This lesson will cover:

1. Meaning of business opportunities
2. How to discover business opportunities
3. Types of business opportunities (local, national, and international)



MEANING OF BUSINESS OPPORTUNITIES

A **business opportunity** is a situation or set of conditions that makes it possible to start or improve a business for the purpose of making profit. It usually arises when there is a demand for goods or services that is not fully satisfied or when new ideas and innovations are introduced to meet human needs.

Key features of business opportunities include:

- They involve identifying unmet needs.
- They must be realistic and achievable.
- They should have potential for profit and sustainability.
- They require resources such as capital, skills, and knowledge to exploit.

Examples: opening a food canteen near a busy school, starting a tailoring shop in a community, or exporting agricultural produce to another country.

HOW TO DISCOVER BUSINESS OPPORTUNITIES

There are several ways an individual can discover business opportunities. These include:

1. Observation of Needs and Problems

- Paying attention to problems in society and providing solutions that people are willing to pay for.
- Example: providing clean water in areas where pipe-borne water is lacking.

2. Market Research

- Studying consumer behaviour, market trends, and competitors to identify gaps in the market.
- Example: finding out that there is demand for online delivery services in a town.

3. Innovation and Creativity

- Developing new products, services, or methods of doing things better.
- Example: inventing a mobile app for local transportation.

4. Observation of Successful Businesses

- Learning from existing businesses and adopting similar ideas to suit another location or need.

5. Government Policies and Programmes

- Taking advantage of government incentives, grants, or support for certain sectors.
- Example: exploring agriculture because of government support for farmers.

6. Technological Advancement

- Using modern technology to create new businesses or improve existing ones.
- Example: online teaching platforms.

7. Networking and Social Interaction

- Meeting people and exchanging ideas can lead to new business discoveries.

TYPES OF BUSINESS OPPORTUNITIES

Business opportunities can be classified into three main types:

1. Local Opportunities

- These exist within a particular community, town, or immediate environment.
- Examples: tailoring shop, hairdressing salon, local food vending, transportation services, and retail trading.

2. National Opportunities

- These exist across a whole country and serve a wider population.
- They usually involve businesses that have branches or outlets in different states.

- Examples: banking services, telecommunications, manufacturing companies, distribution of goods nationwide.

3. International Opportunities

- These are opportunities that go beyond the borders of one's country and involve foreign markets.
- They are made possible by globalization and international trade.
- Examples: exportation of agricultural produce (cocoa, palm oil, cashew nuts), importation of electronic goods, international e-commerce businesses.

EVALUATION

1. Define business opportunities.
2. List and explain four ways of discovering business opportunities.
3. Mention and explain the three types of business opportunities with examples.
4. State two features of business opportunities.
5. Differentiate between local and international business opportunities.

ASSIGNMENT

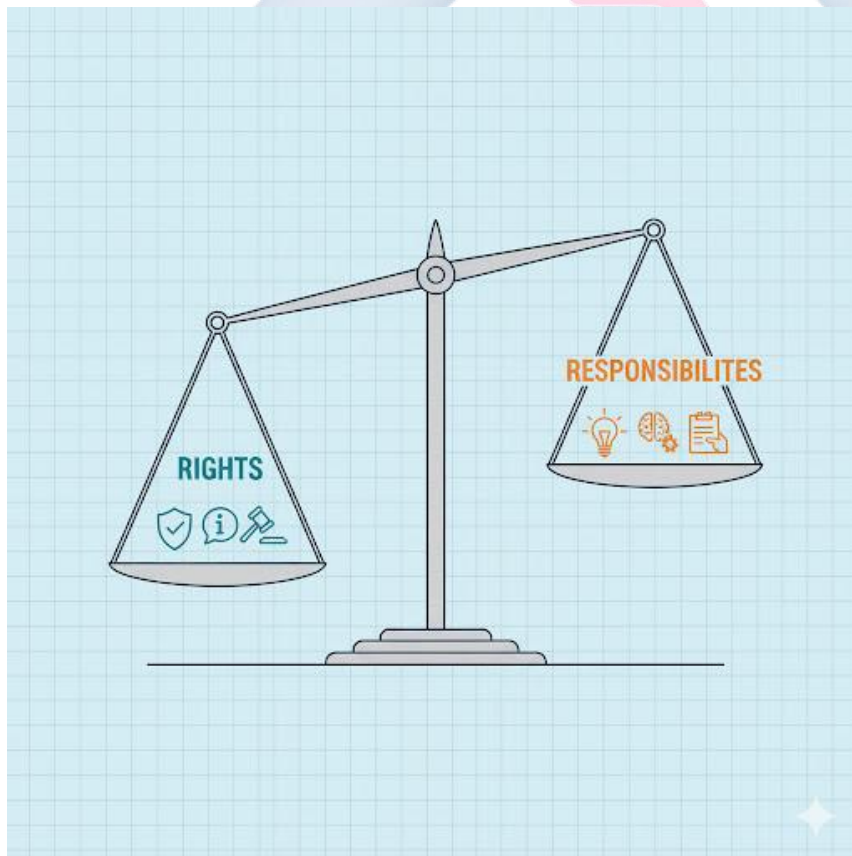
1. Explain in detail five methods of discovering business opportunities.
2. With suitable examples, describe the three types of business opportunities.
3. Discuss the role of government policy in creating business opportunities in Nigeria.

WEEK 9: CONSUMER RIGHTS & RESPONSIBILITIES

- Meaning of consumer rights
- Consumerism
- Eight universal rights of a consumer
- Responsibilities of consumers

INTRODUCTION

Every individual is a consumer because we all buy and use goods and services daily. A **consumer** is any person who purchases or uses goods and services to satisfy personal, family, or community needs. Because consumers often deal with producers, sellers, and service providers, there must be certain rights that protect them from exploitation. Alongside these rights, consumers also have responsibilities to ensure fairness and balance in the marketplace.



MEANING OF CONSUMER RIGHTS

- **Consumer rights** are the legal and moral entitlements or protections that consumers have when purchasing goods or services.
- They are designed to protect buyers against unfair practices by sellers, producers, or service providers.
- They ensure that consumers get value for money, safety, and truthful information about what they buy.

MEANING OF CONSUMERISM

- **Consumerism** refers to the social and economic movement aimed at protecting the rights of consumers against exploitation and ensuring fair treatment in the marketplace.
- It involves:
 - Advocating for laws and policies that safeguard consumers.
 - Promoting awareness of consumer rights.
 - Educating consumers on their responsibilities.
- Consumerism helps balance the power between producers and consumers.

THE EIGHT UNIVERSAL RIGHTS OF A CONSUMER

According to the United Nations guidelines, the following are the eight fundamental rights of consumers:

1. **Right to Safety:** Protection against harmful or dangerous products and services.
2. **Right to Information:** Access to accurate details about goods and services to make informed choices.
3. **Right to Choose:** Freedom to select from a variety of products and services at competitive prices.

4. **Right to Be Heard:** Consumers' complaints and opinions must be considered in policy-making and business practices.
5. **Right to Redress:** Consumers should receive fair compensation, refund, or replacement when cheated or sold faulty goods.
6. **Right to Consumer Education:** Consumers should be taught about their rights, responsibilities, and how to make wise decisions.
7. **Right to a Healthy Environment:** Consumers are entitled to live and work in an environment that is safe and non-threatening to health.
8. **Right to Satisfaction of Basic Needs:** Access to essential goods and services like food, shelter, clothing, education, and healthcare.

RESPONSIBILITIES OF CONSUMERS

For consumer rights to be effective, consumers must also perform their responsibilities. These include:

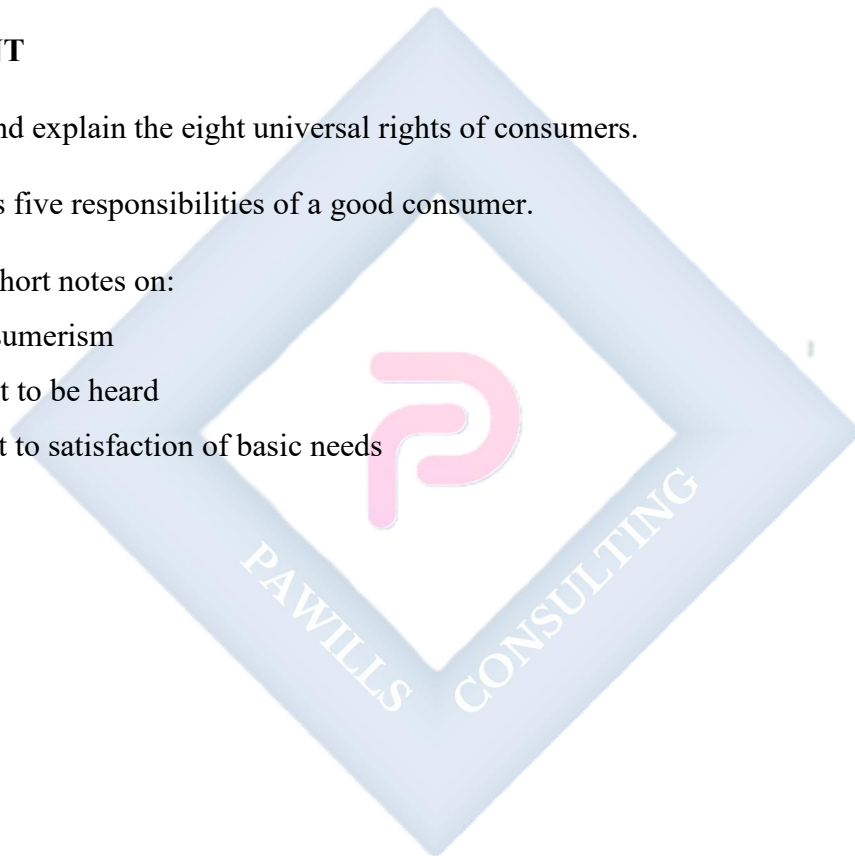
- **Awareness:** Be informed about goods and services before purchase.
- **Critical Mind:** Read product labels, instructions, and expiry dates carefully.
- **Action:** Speak up when dissatisfied with a product or service.
- **Social Concern:** Avoid products that harm the environment or society.
- **Environmental Responsibility:** Dispose of waste properly and support eco-friendly goods.
- **Honesty:** Do not cheat sellers by returning used items falsely or failing to pay debts.
- **Sensible Buying:** Compare prices, quality, and usefulness before purchase.
- **Respect for Law:** Follow the rules and regulations guiding the market.

EVALUATION

1. Define consumer rights.
2. What is consumerism?
3. List and explain any four universal consumer rights.
4. Mention four responsibilities of consumers.
5. Differentiate between consumer rights and consumer responsibilities.

ASSIGNMENT

1. State and explain the eight universal rights of consumers.
2. Discuss five responsibilities of a good consumer.
3. Write short notes on:
 - a. Consumerism
 - b. Right to be heard
 - c. Right to satisfaction of basic needs



WEEK 10: SHOPPING AND AFTER-SALES SERVICES

1. Needs vs Wants
2. Decision Making in Shopping
3. Impulse Buying and Its Effects
4. After-Sales Services



INTRODUCTION

Shopping is the process of selecting and purchasing goods and services to satisfy our needs and wants. Every consumer shops, whether for food, clothing, household items, or even luxury goods. However, shopping wisely is very important because it helps individuals and families manage limited resources (money, time, and energy).

Many people often confuse **needs** with **wants**, or fall victim to **impulse buying**, thereby wasting money on unnecessary items. Furthermore, after buying goods, consumers are entitled to **after-sales services**, which ensure the safe use, maintenance, and enjoyment of purchased products.

This lesson explains needs vs wants, decision-making in shopping, impulse buying and its dangers, as well as after-sales services.

NEEDS VS WANTS

- **Needs** are basic necessities of life that are essential for survival and daily living.
 - Without needs, human existence will be difficult or impossible.
 - Examples:
 - Food (to provide energy and growth).
 - Water (for survival).
 - Shelter (protection against weather).
 - Clothing (covering and protection).
 - Healthcare and education (for well-being and development).
- **Wants** are goods and services that are not essential for survival but are desired for comfort, enjoyment, or prestige.
 - Wants are unlimited, and they usually depend on personal taste, fashion, or income level.
 - Examples:
 - Designer clothes and shoes.
 - Luxury cars.
 - Smartphones and tablets.
 - Jewelry.

- Video games.

Key Differences between Needs and Wants:

- Needs are essential; wants are optional.
- Needs are limited; wants are unlimited.
- Needs must be satisfied first before wants.

Example: Buying rice for food is a need; buying ice cream is a want.

DECISION MAKING IN SHOPPING

Good decision making in shopping means making the right choices before and during buying. This helps the consumer get value for money and avoid waste.

Steps/Factors to Consider in Wise Shopping:

- **Plan a budget:** Decide how much money you have and how to spend it.
- **Make a shopping list:** Write down what you need to avoid forgetting essentials.
- **Check for quality:** Ensure that goods are durable, safe, and standard.
- **Compare prices:** Visit different shops or markets before buying to get the best price.
- **Buy within your income:** Do not buy items beyond your financial strength.
- **Check labels and expiry dates:** Especially on drugs, food, and cosmetics.
- **Evaluate need vs want:** Ask yourself if the item is truly necessary.
- **Consider alternatives:** Buy substitutes when the preferred brand is too costly.

IMPULSE BUYING AND ITS EFFECTS

- **Impulse Buying:** This is the act of purchasing items suddenly without prior planning or consideration. It is influenced by emotions, advertisements, discounts, or peer pressure.

Examples of impulse buying:

- Buying snacks while passing a roadside seller, even though you don't need them.
- Purchasing clothes because they are "on sale," not because you need them.

Causes of Impulse Buying:

- Lack of proper planning.
- Attractive promotions or discounts ("Buy one, get one free").
- Peer pressure or influence.
- Emotional buying (e.g., shopping when sad or excited).

Effects of Impulse Buying:

- Waste of money on unnecessary goods.
- Neglect of essential needs.
- Regret or dissatisfaction after purchase.
- Financial difficulties due to overspending.
- Accumulation of debt if items are bought on credit.

AFTER-SALES SERVICES

After-sales services are additional benefits or support that a seller or manufacturer provides to the buyer after purchase. They are usually offered on expensive or technical items such as cars, electronics, machines, and gadgets.

Examples of After-Sales Services:

- Free installation (e.g., air conditioner, TV, fridge).
- Warranty or guarantee (promise to repair or replace faulty items within a period).
- Free training or demonstration on how to use a product.

- Maintenance and repair services.
- Return or exchange policies (e.g., “return within 7 days if faulty”).
- Customer care services (telephone hotlines, email support, service centers).

Importance of After-Sales Services:

- Ensures correct use of products.
- Protects consumers from financial loss when items get faulty.
- Increases customer satisfaction and loyalty.
- Builds trust between buyers and sellers.
- Enhances the reputation of the product or brand.

EVALUATION

1. Define the following terms: (a) Need (b) Want.
2. List five examples of needs and five examples of wants.
3. State four factors to consider in decision-making when shopping.
4. What is impulse buying? Give two effects of impulse buying.
5. List three after-sales services provided by sellers.

ASSIGNMENT

1. Differentiate between needs and wants using detailed examples. (Give at least five examples each).
2. Write five wise shopping practices and explain how each helps prevent waste or impulse buying.

3. Explain five types of after-sales services provided by sellers and give examples of goods that may require them.

